NIKHIL BHENSDADIA / INTERVIEW PREPARATION

Equity Research Interview Guide

Fundamental investing. Defensible numbers.
Clear answers under pressure.

175 answered questions | 21 chapters

Worked cases, stock-pitch defence, current affairs,
mock interviews and a 30-day preparation plan.
AMCs / PMS / AIFs / Institutional research

RESEARCH CUT-OFF 24 OCTOBER 2026

Find your next practice session

Click a chapter in this contents list, use the PDF bookmarks, or jump to a question from the index. Source IDs in answers link to the evidence register. Page numbers include the cover.

01 Start here: how to prepare 3

02 Your story and the resume defence 4

03 How different employers will test you 8

04 Fund structures, mandates and additional technical challenges 11

05 Accounting: the interview foundation 14

06 Valuation and financial modelling 19

07 Business analysis and research process 25

08 Banking and NBFC interviews 28

09 Your HDFC Bank pitch: defend and improve it 31

10 Your M&M pitch and the auto sector 34

11 Your avoid notes: turn red flags into judgement 37

12 Sector questions beyond your two buy ideas 40

13 Current situation: the dated interview briefing 43

14 Portfolio construction, risk and long-short thinking 47

15 Defending your systematic and options experience 51

16 Ethics, communication and HR 54

17 Worked numerical drills 57

18 Timed practical tests with model solutions 60

19 Mock interviews and scoring 62

20 A preparation plan you can execute 63

21 One-day-before revision and claim checklist 65

Evidence register and refresh sources 66

Question index 69

01 Start here: how to prepare

A personal preparation manual for Nikhil Bhensdadia. Target: fundamental equity research at Indian AMCs, PMS firms, AIFs, family offices and institutional research teams. Research cut-off: 24 October 2026. Questions are reasoned practice prompts based on your work and role requirements, not a claim to know any firm's confidential interview bank.

What this book means by an answer

The technical answers explain the underlying economics. First-person career answers are suggested scripts based on the information you provided: adapt them to your actual responsibilities. Your research notes are evidence of your analysis, not independent verification of every company claim. Current facts carry source IDs; hypothetical numerical examples are explicitly labelled. Market views are proposed reasoning, not facts or predictions. No interview outcome is guaranteed.

Prepare in this order

First: reconcile the resume claims and learn your introduction. Second: master accounting and valuation, then build one model without a template. Third: defend HDFC Bank, M&M and one avoid idea with primary-source evidence. Fourth: practise current-market answers and portfolio decisions. Fifth: rehearse timed interviews and written cases. Speak the conclusion first, give two or three supporting facts, then explain the risk and what would change your mind.

Your interview kit

Carry a clean resume; your dated two-stock pitch; a three-statement model with an assumptions tab, source links and valuation sensitivities; a one-page avoid note; the Diwali calculation with dates and benchmarks; a non-confidential description of your research process; and a same-day market sheet. Do not take client identities, proprietary strategy rules or unauthorised employer files.

Priority map

Highest priority: your career transition, financial statements, cash conversion, DCF, bank valuation, HDFC/M&M thesis defence and your actual contributions. Next: sector KPIs, earnings revisions, portfolio sizing, ethics and timed Excel work. Fund-specific extra: factor risk, shorts, catalysts, hedging and live-versus-backtest reconciliation. If time is short, follow the 72-hour plan near the end.

02 Your story and the resume defence

The interviewer will use your resume as a question list. Your advantage is disciplined research and risk thinking. Your main challenge is showing independent fundamental judgement while describing your systematic work accurately.

001 Tell me about yourself in 90 seconds.

I am a research analyst at Young Turtle in Ahmedabad and have passed all three CFA Program exams. My work includes comparing stock-selection approaches across market conditions, testing strategies and working on portfolio risk, with day-to-day responsibility for a four-person research team. Earlier, at Matalia, I wrote market notes and worked on the Diwali stock basket. Alongside that work, I have built fundamental research on Indian companies, including HDFC Bank and M&M, and avoid notes using cash-flow and valuation analysis. I now want a role where company analysis, earnings forecasts and investment decisions are the core responsibility.

> Push further: Finish with one example of an investment judgement, then stop. Be ready to explain the exact model you built.

Watch for: Do not say CFA charterholder unless you have been awarded the charter. Do not imply all your Young Turtle work was fundamental research.

002 Why move from systematic research to fundamental equity research?

The common skill is testing a view against evidence and understanding downside. In systematic work I learned how regimes, implementation costs and portfolio interactions change results. Fundamental work lets me investigate the business reasons behind returns: competitive advantage, earnings quality and capital allocation. My HDFC/M&M pitch and avoid notes are the evidence that I have already started that work. I want to deepen this into maintained company models and sector coverage under an experienced investment team.

> Push further: Why not a quant role? Explain what you enjoy about reading filings and revising a business thesis.

Watch for: Do not describe fundamental investing as easier or dismiss your present employer.

003 Why are you leaving Young Turtle?

I am looking for a position where bottom-up company research and valuation are the main deliverables. Young Turtle gave me useful experience in research discipline, strategy evaluation and risk. My next step is to apply those skills to business analysis, earnings forecasts and stock recommendations. I am on notice period; I would give my actual last working date and joining availability rather than an estimated date.

> Push further: What did you discuss with your manager? Answer factually and briefly.

Watch for: Do not invent a restructuring, compensation issue or conflict.

004 What exactly did you do when you say you led four people?

My supplied work history says I led day-to-day research and maintained existing systems. I would explain the actual division of work: assigning research tasks, checking logic and outputs, reviewing exceptions and bringing completed work to the decision-maker. I would show a non-confidential example of a task, my review comments and the resulting correction. If I had no hiring, appraisal or capital approval authority, I would say so explicitly.

> Push further: Who reported to you, who approved the final work, and what happened when you disagreed?

Watch for: Team coordination and formal line management are different. Use your real reporting structure.

005 You say 40+ strategies were approved. Did you have investment authority?

I need to distinguish research completion, my recommendation and final live approval. My original description says I concluded strategies that were deployed with allocations based on market conditions. If the PM authorised deployment, my answer should be: I completed validation and recommended the strategy; the PM approved allocation. I would describe the rejection criteria, costs and robustness tests, and the monitoring after launch.

> Push further: Give one rejected strategy and why you rejected it. Prepare an actual example.

Watch for: The resume word approved may overstate authority. Clarify your role before using it in an interview.

006 What does INR 6 crore live mean: AUM, exposure or capital?

The current resume does not establish the denominator. I should bring a reconciliation of funded capital, margin, long notional, short notional and gross and net exposure. For a long-short book, INR 6 crore gross exposure does not mean INR 6 crore investor capital or AUM. I would state the deployment date, my responsibility and what performance is genuinely live, subject to confidentiality.

> Push further: If INR 3 crore long and INR 3 crore short sit on INR 3 crore NAV, gross exposure is 200% and net exposure is zero.

Watch for: Do not claim to have managed INR 6 crore of capital unless the records support that claim.

007 Explain 16% CAGR, CAR/MDD 5.0 and a worst month of -4.1%.

These figures require reconciliation. If CAR means the same 16% annualised return and the ratio uses percentage maximum drawdown, CAR/MDD of 5 implies MDD of 3.2%. A -4.1% month on the same continuously measured NAV series implies a drawdown of at least 4.1%, so the three figures cannot all describe that same series and convention. I would check capital bases, gross versus net returns, periods, monthly versus daily sampling and the export definition. Until resolved, I should not repeat the combined claim as validated.

> Push further: Prepare the actual daily NAV and metric definitions. A -4.1% month caps 16%/MDD at about 3.90.

Watch for: Do not invent an explanation such as leverage or a different window. Verify it.

008 What was the result of the Diwali stock basket?

The supplied workbook shows four stock price returns: Avanti Feeds +17.90%, Castrol India -4.88%, Swaraj Engines +37.13% and Skipper -5.76%. Their arithmetic average is +11.10%. Against the workbook NIFTY 50 return of +6.77%, the excess is 4.33 percentage points; against BSE 500 at +4.16%, it is 6.94 points. I would describe this as the equal-weight price-return basket over the recorded period, pending verification of starting dates and corporate-action treatment.

> Push further: Swaraj contributed about 9.28 percentage points to the basket. Without it, the other three average about 2.42%.

Watch for: This is not a proven live client return, risk-adjusted alpha or a dividend-adjusted TRI comparison.

Evidence / reference: [U2]

009 Does beating NIFTY prove stock-picking skill?

No. Four stocks and one observation are too small a sample. I would test the decision process, valuation at entry, position weights, sector and size exposures, dividends, costs and whether the basket was documented before the return period. NIFTY 50 may not be the most comparable benchmark for this mixed-cap basket. The useful evidence is that I can explain both the winners and the losers without hindsight.

> Push further: What would you say about Castrol and Skipper? Bring the original theses and compare each forecast with the outcome.

Watch for: Do not call a simple return difference Jensen alpha.

010 What did you personally build versus the developers?

I worked on research logic and requirements: what inputs, entry/exit checks, outputs, allocations and exception handling the tools needed. Developers implemented the software. I would describe one requirement that I translated into a testable rule and how I validated the output against a manually checked example. If I wrote specific Python analysis, I would identify that work separately and be ready to explain the code.

> Push further: How did you resolve a discrepancy between the backtester and a reference calculation?

Watch for: Do not claim full-stack engineering or sole authorship of a platform without evidence.

011 What is your biggest research mistake?

Choose a real example and use four parts: my original assumption, the evidence I missed, the cost or decision impact, and the change to my process. A good answer is specific about the mistaken variable and avoids blaming markets. You have two losing Diwali picks, but a negative stock return is not automatically a research mistake; inspect whether your original business assumptions were wrong first.

> Push further: What early warning would you monitor now?

Watch for: No invented STAR story is supplied here. Fill this with an event you can defend.

012 What is your edge and your current gap?

My edge is research discipline: I am comfortable comparing alternatives, testing assumptions and linking a view to portfolio risk. My own company notes show that I can argue against a tempting low multiple when cash conversion or economics are weak. My gap is the depth that comes from years of maintained sector coverage and primary research. I would address it by owning a small coverage universe, tracking estimates and keeping an explicit forecast-versus-actual record.

Push further: What did you do this month to close the gap? Show a model update or concall question.

Watch for: Do not claim management access, channel checks, Bloomberg, FactSet or Capital IQ if you have not used them.

03 How different employers will test you

These are preparation priorities inferred from role requirements and published investment philosophies. They are not verified lists of questions asked by specific interviewers. The inherited 87-JD collection contains role and geography mismatches and should be filtered before treating it as a precise hiring sample.

013 What changes between buy-side and sell-side research?

Both need sound models and an independent view. On the buy side, the recommendation must compete for capital inside a mandate: position size, downside, correlation, liquidity and opportunity cost matter. On the sell side, the analyst also maintains coverage, publishes timely notes, communicates with clients and handles earnings-season demands. A buy-side answer should end with the decision; a sell-side answer should show how I would maintain and communicate the research.

> Push further: How would you turn an earnings release into a 200-word client note?

Watch for: Do not assume every buy-side firm is long term or every sell-side firm only markets stocks.

014 How would you prepare for an AMC interview?

Read the exact scheme mandate, current factsheet, benchmark, portfolio, concentration and manager commentary. Bring an investable idea that fits market-cap and liquidity requirements. Explain the active weight you would recommend and the evidence that would alter it. Prepare earnings revisions and relative attractiveness, not only an intrinsic-value target. For a large fund, show why the idea can absorb capital without excessive execution cost.

> Push further: What if your best idea is outside the scheme mandate? Keep it on a watchlist and propose a compliant alternative.

Watch for: Do not assume that a famous fund's portfolio reveals its full investment rationale.

015 How would you prepare for a concentrated PMS interview?

Go deeper on competitive advantage, accounting quality, promoter behaviour and capital allocation. Show how long the reinvestment runway can persist, and the valuation at which a quality business becomes a poor investment. Analyse liquidity at realistic client account sizes and distinguish a model portfolio from individual client entry prices and tax positions. Be ready to defend why a concentrated position is preferable to the next best stock.

> Push further: What permanent impairment could occur despite strong historical ROCE?

Watch for: High quality does not remove valuation or governance risk.

016 How would you prepare for a hedge fund or Category III AIF?

First establish the actual strategy and risk budget: long-only, long-short, market-neutral or event-driven. Then prepare estimate changes, catalysts, timing, financing and downside paths. For shorts, show borrow availability, cost and squeeze risk. Explain gross/net exposure, factor sensitivity and what happens if the thesis is right but the catalyst is late. A good long-term business can still be an unsuitable trade for a short risk window.

> Push further: What information would change your next-quarter EPS estimate by 10%?

Watch for: Category III AIF and hedge fund are not interchangeable descriptions of one strategy.

017 How would you tailor preparation for PPFAS and Marcellus?

For PPFAS, use its published value-investing material to practise patience, valuation discipline and behavioural mistakes; verify the exact role because sector specialisation matters. For Marcellus, its published approach highlights clean accounts, capital allocation and competitive advantage, so bring a forensic cash-flow test and a reinvestment analysis. These are research-based preparation choices, not claims about their interview process. In both cases, be able to disagree with an attractive story on valuation.

> Push further: Choose a company you would reject even if it fitted the firm's broad style.

Watch for: Do not confuse Marcellus Investment Managers in India with similarly named overseas firms.

Evidence / reference: [S10] [S11]

018 What should you research about any employer the evening before?

Prepare one page: legal entity and product, strategy, benchmark, portfolio as-of date, assets and liquidity needs, current commentary, the exact JD, interviewer background from public information, and two useful questions. Read one holding and one non-holding idea in depth. Recheck holdings because disclosures lag. If no public portfolio exists, explain how you would fit the stated mandate without pretending to know positions.

> Push further: Why this firm rather than any equity research job? Link one verified characteristic to your work.

Watch for: Do not memorise a generic praise paragraph.

Routes through the employers in your saved JD collection

These are study routes derived from saved role text, not verified current vacancies or interview reports. Groww BFSI role: bank model, funding, asset quality and HDFC defence. Navi: bottom-up research, DCF, earnings revisions and portfolio construction. SBI Dhruv associate role: data accuracy, source reconciliation, model inputs and concise internal updates. Quantum: accounting, valuation, monitoring and questions for management/factory visits. Dolat institutional research: maintained coverage models, initiation/results notes and client communication. [U5]

Filter role fit before spending preparation time

The saved UTI role requests 8-10 years and current IT expertise; Carnelian capital-goods role asks for roughly 8+ years; Unifi pharma role asks for at least four years of relevant sector experience; Balyasny consumer role is in Singapore with a five-year requirement. These can inform practice but should not be treated as direct matches to your profile. Millennium's saved Mumbai role emphasises maintained models and primary research; the Point72 example is Asia ex-Japan in Singapore, not a confirmed India-only opening. Check the actual live JD. [U5]

When the employer asks for original work

The saved Korman posting requests an Indian stock pitch and explicitly values independent work, with one version asking applicants to avoid AI-generated reports and models. Follow the actual application instructions. Use this book to learn and practise, then independently rebuild, verify and write any submitted research in your own words. Do not submit a rehearsed answer or generated model you cannot explain as your independently completed work. [U5]

04 Fund structures, mandates and additional technical challenges

These questions help you connect company analysis to the product that will own the stock. The legal position depends on the exact entity, strategy documents and latest rules; prepare principles accurately and verify any quoted regulatory threshold.

019 How do mutual funds, PMS, AIFs and SIFs differ?

A mutual fund pools investor money into units under a scheme mandate. PMS generally manages individual client portfolios under a client agreement, so investor entry prices and tax positions can differ. AIFs are privately pooled vehicles with category-specific frameworks; Category III can include sophisticated trading strategies, subject to the actual permissions and limits. SIFs are a specialised framework within the mutual-fund ecosystem, not simply another name for PMS. These distinctions affect liquidity, leverage, reporting and the investment universe.

Push further: Before recommending a short, which product documents do you inspect?

Watch for: Do not assume all alternatives can use the same leverage or liquidity terms.

Evidence / reference: [S19] [S25] [S26]

020 Multi-cap versus flexi-cap, and what is the relevance for an analyst?

The February 2026 categorisation circular specifies multi-cap minimum equity exposure of 75% with at least 25% each in large, mid and small caps. Flexi-cap has at least 65% equity exposure with flexibility across those groups. Large-cap has at least 80% in large-cap equities; mid-cap and small-cap schemes have at least 65% in their respective groups. The practical point is that a good idea may be unsuitable for a particular mandate. Check current scheme documents and amendments.

Push further: What if the mandate cannot accommodate your small-cap idea?

Watch for: Do not use this short explanation as an exhaustive statement of every scheme restriction.

Evidence / reference: [S19]

021 What do you know about the current SIF framework?

SEBI introduced the regulatory framework in February 2025, with subsequent operational clarifications. It is intended as a differentiated product within the mutual-fund structure with strategy-specific flexibility and risk controls. The framework uses an aggregate investor minimum threshold of INR 10 lakh across strategies of the SIF at PAN level, with specified exceptions and operating conditions. I would read the exact strategy and latest amendments before discussing permitted exposures or redemption terms.

Push further: Why is its existence relevant to your job search? Some roles combine fundamental research with long-short portfolio implementation.

Watch for: Do not quote one derivatives percentage as applying identically to all SIF strategies.

Evidence / reference: [S25] [S26]

022 Why do bond yields matter for equity valuation?

They influence risk-free discount rates, debt funding costs and the relative attractiveness of equity cash flows. Higher yields can reduce present value, especially for cash flows far in the future, but the reason for the yield move matters: stronger growth may improve earnings while inflation or risk stress may hurt. I would assess both cash-flow and discount-rate effects rather than apply a fixed index sensitivity.

Push further: Why might a high-duration equity fall more than a mature cash generator?

Watch for: A one-percentage-point yield move is not a one-percentage-point fall in stock value.

023 Why might a stock fall after good results?

The result may be below expectations, guidance may weaken, cash conversion may disappoint or the stock may already price a stronger outcome. One-offs and changes in the quality of earnings can matter more than reported PAT. Separate the fact of growth from the surprise and the change in forward value. Examine what moved in the model and the valuation multiple.

Push further: If you do not have consensus, how can you avoid inventing the surprise?

Watch for: Good company news is not automatically a positive stock-price surprise.

024 Is EPS-accretive M&A automatically value creating?

No. Accretion can arise from a low financing cost, accounting treatment or buying a lower-multiple company. Value depends on purchase price, sustainable cash synergies, integration cost, incremental capital and risk. Compare the present value of acquired cash flows and synergies with the full consideration and associated costs. Include dilution, debt, goodwill and the possibility that optimistic synergies fail.

Push further: Why can an accretive acquisition lower ROIC below WACC?

Watch for: Do not treat goodwill impairment as the first moment an acquisition destroys economic value.

025 Can a company grow faster than its sustainable-growth formula?

Yes temporarily, through new equity, higher leverage, asset sales, changes in asset turnover or better margins. The simple growth = ROE x retention formula assumes stable profitability and capital structure, clean surplus and no external equity. For a bank, regulatory capital and risk-weighted asset mix also constrain growth. Model the funding source rather than quoting the formula as a hard ceiling.

Push further: If HDFC book grows 11%, what payout and ROE assumptions support it?

Watch for: External financing changes per-share economics and risk, not just total growth.

026 What is the role of catalysts in long-term investing?

A catalyst is evidence or an event that can change expectations or realise value: earnings delivery, funding improvement, a business disposal or capital returns, for example. Long-term compounding does not always need a dated event, but it still needs economic progress that benefits shareholders. For shorts or a narrow risk window, timing often matters more. Distinguish a possible event from an announced one.

Push further: What if your catalyst occurs but the price does not respond?

Watch for: Do not promise a timeline based only on your preferred narrative.

027 What would you do if asked to cover a sector outside your expertise?

I would be explicit about my current limits, map the business drivers, accounting and industry structure, build a peer/terminology sheet and read primary filings before making a recommendation. I would ask for review on sector-specific judgements and produce a research plan with open questions. The goal is to transfer analytical discipline while avoiding false certainty.

Push further: Give a two-week coverage initiation plan.

Watch for: Do not pretend broad CFA knowledge equals years of sector expertise.

028 How do you maintain conviction without becoming stubborn?

State in advance which assumptions drive value, what observations would weaken them and how much uncertainty remains. Keep the original thesis and each dated revision so a falling price does not silently change the story. Seek the strongest opposing evidence and distinguish price volatility from thesis deterioration. Conviction should respond to evidence and expected return, not to how publicly I defended the idea.

Push further: What is the latest fact in your own pitch that deserved a downward revision?

Watch for: Moving every exit condition after it is breached is not long-term discipline.

05 Accounting: the interview foundation

Except where stated otherwise, examples in this and the next chapters are hypothetical non-financial companies, with INR crore units and a 25% cash tax rate. Banks use a different operating and regulatory framework. Read the company's actual accounting policies; Indian bank filings should not automatically be treated as Ind AS financial statements.

029 Walk me through the three financial statements.

The income statement measures recognised revenue and expenses over a period. The balance sheet records assets, liabilities and equity at a date. The cash-flow statement explains cash changes through operating, investing and financing activities. Net income affects retained earnings after dividends and other equity movements; depreciation reduces profit and net fixed assets but is non-cash; capex adds fixed assets and uses investing cash; working-capital changes bridge recognised profit to operating cash.

> Push further: Why can a profitable company run out of money? Credit sales, inventory build and debt repayments can consume cash.

Watch for: Do not equate revenue with cash collection or PAT with free cash flow.

030 Depreciation increases by 10. What happens?

Assume it is tax-deductible immediately and everything else is unchanged. EBIT and PBT fall by 10, tax falls by 2.5 and PAT falls by 7.5. In the indirect cash-flow statement, add back the extra 10 depreciation, so CFO rises by 2.5. Cash increases by 2.5, net PP&E falls by 10, and retained earnings fall by 7.5: the balance sheet balances. If tax depreciation does not change, the cash-tax result differs and deferred tax may arise.

> Push further: What if the company has no taxable profit? The immediate tax shield may not be usable.

Watch for: State the tax assumption before answering.

031 A company buys equipment for 100 using debt. Trace the entries.

At purchase, PP&E rises by 100 and cash falls by 100 in investing. Borrowing raises cash by 100 in financing and debt by 100; the net cash change is zero. There is no immediate operating expense just from the purchase. Subsequently, depreciation reduces earnings, interest creates financing cost, and principal repayment uses financing cash. In a project model, make timing explicit: construction cash flows can precede revenue by several periods.

> Push further: How does capitalised interest affect comparability?

Watch for: Debt-funded capex does not create revenue or profit on the purchase date.

032 Credit sales rise by 100 with associated COGS of 60. What happens?

Assume the inventory cost was already paid, no new purchases, and tax of 10 is paid now. Revenue rises 100, COGS 60 and PAT 30. Receivables rise 100 and inventory falls 60. Indirect CFO is PAT 30 minus the receivable increase 100 plus the inventory decrease 60, so cash falls 10. Assets change by receivables +100, inventory -60, cash -10 = +30, equal to retained earnings +30.

> Push further: What changes when the customer pays? Receivables become cash with no second revenue recognition.

Watch for: Avoid a numerical answer without clarifying inventory and tax payment assumptions.

033 What is operating working capital and why does its increase consume cash?

A useful non-bank definition is operating receivables plus inventories and other operating current assets, less trade payables and operating accruals. Exclude financing debt and excess cash; classify tax balances consistently. An increase means more cash is tied up before suppliers or customers fund the operating cycle. For a forecast, separate receivable days, inventory days and payable days rather than assuming one permanent percentage of sales.

> Push further: Revenue 1,000 and DSO increases by 10 days: approximately 27.4 more receivables, all else equal.

Watch for: A rising payable balance can improve cash flow while masking supplier stress.

034 What is the cash conversion cycle?

CCC = days sales outstanding + inventory days - payable days. DSO typically uses average trade receivables divided by credit sales times days; inventory days and payable days typically use COGS or purchases as appropriate. Use comparable periods and remove non-trade balances. A negative cycle can be attractive when customers pay early and suppliers are paid later, but it is not automatically sustainable.

> Push further: Why can year-end balances mislead? Seasonality, factoring and collection pushes can flatter the snapshot.

Watch for: MIC's debtor-day figure in your note needs numerator, denominator and consolidation-basis reconciliation before you quote it.

035 How do you judge earnings quality?

Reconcile multi-year PAT to cash from operations, then explain the bridge: receivables, inventory, payables, non-cash taxes, other income, provisions and capitalised costs. Compare growth with cash collection, returns on incremental capital and financing needs. Read segment and related-party notes. A single low CFO year may reflect genuine growth; persistent unexplained gaps deserve a larger risk discount or rejection.

> Push further: Can CFO exceed PAT for a bad reason? Stretching payables or selling receivables can temporarily help.

Watch for: A low CFO/PAT ratio is a research lead, not proof of fraud.

036 How does revenue recognition create research risk?

Ask what was sold, when control transferred, whether obligations remain, and how much consideration is collectible. Examine returns, rebates, customer acceptance, unbilled revenue, contract assets and bill-and-hold terms. For long contracts, investigate progress measurement and revisions. Compare reported revenue with cash receipts and contract liabilities. The judgement is whether recognition matches economic delivery, not whether invoices were issued.

> Push further: Why can contract assets grow faster than receivables? Performance may precede unconditional billing rights.

Watch for: Do not apply a simplified five-step model without checking the company's applicable accounting standard.

Evidence / reference: [S15]

037 Capitalise or expense: why does it matter?

Capitalisation delays the income-statement charge and creates an asset, often improving current profit and CFO presentation while cash spending still occurs. Analyse whether the cost creates recoverable future benefits under the accounting rules. Compare R&D, software, borrowing costs and commissioning costs with peers, and inspect subsequent impairment. For valuation, model the actual cash investment and avoid treating capitalisation as free economic profit.

> Push further: What happens to ROCE after aggressive capitalisation? Both numerator and invested capital change; analyse the timing.

Watch for: EBITDA can look stronger even when cash economics do not improve.

038 What is the difference between a provision, contingent liability and reserve?

A provision is a recognised liability of uncertain timing or amount when recognition criteria are met. A contingent liability is generally a possible obligation, or an obligation not recognised because the criteria are not met, and is disclosed unless the relevant standard permits otherwise. A reserve is generally an equity classification, not a cash pot. Read the applicable standard and the underlying obligation before adding amounts to a valuation bridge.

> Push further: When would you haircut a legal contingent liability? Use probability, severity, timing and existing provisions.

Watch for: Do not subtract a provision again if its expected cash cost is already in the forecast.

039 What are deferred tax assets and deferred tax liabilities?

They arise mainly from temporary differences between accounting carrying amounts and tax bases, plus eligible tax losses or credits. A deferred tax asset has value only if it can be realised under the rules and business outlook. Separate tax expense from cash tax. A DTA write-down lowers reported profit and equity but is not an immediate cash payment; it may still reveal weaker expected profitability.

> Push further: Your MIC note adjusts for a deferred-tax reversal. What evidence supports recoverability and normalised cash tax?

Watch for: Non-cash does not mean economically irrelevant.

040 How do leases affect EBITDA, debt and valuation?

For many lessee arrangements under Ind AS 116/IFRS 16, recognising a right-of-use asset and lease liability replaces a single rent charge with depreciation and interest, often increasing reported EBITDA. For comparables, use a consistent treatment of lease liabilities, EBITDA and lease cash payments. A post-lease cash-flow valuation can avoid a separate lease-debt deduction if all obligations are already captured consistently.

> Push further: Why does comparing pre-lease EBITDA to a lease-inclusive EV mislead?

Watch for: Do not add lease debt while also deducting the entire same obligation through an inconsistent cash-flow forecast.

Evidence / reference: [S16]

041 Standalone versus consolidated: which do you use?

Use consolidated results to understand the economic group, then attribute earnings and value to the parent shareholders. Use standalone results when analysing the parent operating entity, regulated bank ratios or distributable cash constraints. For SOTP, separate subsidiaries and remove duplicated earnings or investment values. Compare peers on the same basis and recognise minority interests when consolidating 100% of a subsidiary's EBITDA.

> Push further: M&M has several businesses. Which PAT belongs to parent shareholders?

Watch for: The HDFC Bank current dashboard explicitly labels standalone figures.

042 What are minority interests and associates?

A consolidated subsidiary may contribute 100% of revenue and operating profit even when the parent owns less than 100%. Non-controlling interests represent the outside holders' claim. An associate is generally accounted for using the equity method, so its revenue is not fully consolidated and the share of profit appears separately. Valuation must match the claim being valued: add NCI to EV for fully consolidated EBITDA; value associates separately if excluded from operating cash flows.

> Push further: What if you use PAT after NCI? Use a parent equity denominator consistently.

Watch for: Do not count an associate's market value and its capitalised earnings twice.

043 How do you assess a buyback?

Compare repurchase price with intrinsic value, the return on alternative investments, financing cost and balance-sheet resilience. A buyback can raise EPS merely by reducing shares; that does not automatically create value. Debt-funded repurchases also raise financial risk. Model shares, cash/debt and interest consistently, and check whether stock compensation offsets the share reduction.

> Push further: Would you prefer a dividend? Consider reinvestment opportunities, valuation and the investor's tax situation.

Watch for: Do not quote a historical buyback tax rule as current law without checking the applicable date.

044 How do dilution and stock splits affect analysis?

A split changes price and shares proportionately, without creating enterprise value. Options, convertibles and fresh issuance can change the diluted claim on the business and bring in financing cash. Restate historical per-share data for corporate actions and match market cap to the latest relevant share count. For uncertain future funding, model both the cash raised and additional shares.

> Push further: Your E2E and Websol notes use split-adjusted prices. Reconcile the action date and diluted shares from filings.

Watch for: Do not compare pre-split EPS with a post-split stock price.

045 What governance red flags matter most?

Look for unexplained related-party transfers, cash that earns little interest, receivables or advances to connected parties, repeated auditor changes, qualifications, opaque acquisitions, promoter pledges and frequent dilution with poor returns. Triangulate filings, cash flow, credit reports and management responses. Distinguish evidence from suspicion and document the unanswered question. The investment decision can be avoid without alleging misconduct.

> Push further: Promoter holding falls: sale, dilution, reclassification or corporate action? Build the share-count bridge.

Watch for: A lower promoter percentage alone is not proof of promoter selling or fraud.

06 Valuation and financial modelling

Master the cash-flow logic, then the formula. A precise number from an inconsistent model is weaker than an honest range from transparent assumptions. The examples here are teaching models, not company forecasts.

046 Walk me through a DCF.

Define the asset and claim being valued. Forecast revenue from business drivers, margins, cash taxes, working capital and investment. Estimate free cash flow, a discount rate consistent with currency and risk, and a terminal state with sustainable reinvestment. Discount the flows, reconcile operating value to equity and divide by diluted shares. Stress the assumptions that drive most value and explain what operating evidence would change them.

> Push further: Why is your growth forecast economically possible? Connect it to capacity, customers, market share and capital.

Watch for: Do not start with a desired target price and back-solve assumptions.

047 FCFF versus FCFE: give the formulas.

FCFF = EBIT x (1 - cash tax rate) + non-cash operating charges - capex - increase in operating working capital, with appropriate adjustments. Discount FCFF at WACC to value operating assets. FCFE = net income + non-cash charges - capex - increase in working capital + net borrowing, with consistent classification. Discount FCFE at cost of equity. The distinction is the claim available after operating reinvestment but before or after debt cash flows.

> Push further: Why is EBITDA not free cash flow? It omits tax, investment and working capital.

Watch for: Do not deduct interest in FCFF and then discount at WACC, or deduct debt again from an FCFE equity value.

Evidence / reference: [S12]

048 Calculate WACC and explain its limitations.

Hypothetical: 80% equity with Ke 13%, 20% debt costing 8% before tax, tax 25%. WACC = 0.8 x 13% + 0.2 x 8% x 0.75 = 11.6%. Use market or defensible target capital weights and a marginal borrowing cost, not just historical interest divided by debt. Consider whether the tax shield is usable. WACC is not static when business risk or leverage changes materially.

> Push further: What if distress risk rises? More cheap debt does not guarantee a lower economic cost of capital.

Watch for: Keep cash flows, risk-free rate and discount rate in the same currency and nominal/real basis.

049 How do you estimate cost of equity?

A practical starting point is CAPM: risk-free rate plus beta times the relevant equity risk premium, with country-risk treatment consistent with the company's exposure and the chosen premium. Use an appropriate government yield or adjusted risk-free proxy, defensible peer beta and a transparent premium. For small or unusual businesses, test the implied hurdle rather than hiding uncertainty in an arbitrary extra spread.

> Push further: Why not use the bank deposit rate? Equity is a residual risky claim.

Watch for: Do not add country risk twice or use a US risk-free rate with INR cash flows without a consistent conversion.

050 How do you unlever and relever beta?

A common simplified formula is beta unlevered = beta equity / [1 + (1 - tax) x D/E], assuming negligible debt beta and the model's other conditions. Relever using the target capital structure. Estimate across relevant operating peers and consider excess cash, leases and segment mix. The purpose is to separate business risk from financing risk, not to create false precision.

> Push further: Why could regression beta be unreliable? Short samples, thin trading and changing business mix.

Watch for: A low historical beta does not prove low permanent-loss risk.

051 How do you choose terminal growth?

Use a rate consistent with the long-run economy and currency, after the company reaches a mature state. Terminal growth must be below the discount rate and supported by reinvestment. A useful steady-state relationship is growth = reinvestment rate x incremental ROIC. If growth is 4% and terminal ROIC is 12%, about one-third of NOPAT must be reinvested; it cannot all be distributed.

> Push further: Why can terminal value dominate a DCF? A going concern often generates cash beyond the explicit horizon.

Watch for: Do not use a high terminal growth rate simply because it produces upside.

Evidence / reference: [S13]

052 Calculate a one-period terminal value.

Hypothetical FCFF in year 5 is 100, terminal growth 4% and WACC 12%. Year-6 FCFF is 104 and terminal value at the end of year 5 is 104 / (12% - 4%) = 1,300. Present value is 1,300 / 1.12^5, approximately 737.7. Add the present value of years 1-5, then bridge to equity. Explain whether year-5 cash flow is genuinely normalised.

> Push further: At WACC 13% and unchanged growth, terminal value falls to about 1,155.6 before discounting.

Watch for: Terminal value is located at the end of the explicit period, not at time zero.

053 What belongs in the enterprise-value-to-equity bridge?

Start with operating enterprise value. Add excess cash and separately valued non-operating investments excluded from the operating forecast; subtract financial debt and other senior or debt-like claims not already captured; account for non-controlling interests and relevant pension or legal obligations consistently. Use current diluted shares and reconcile material subsequent events. The bridge depends on what your numerator already contains.

> Push further: If consolidated EBITDA includes subsidiaries fully, how do you handle NCI?

Watch for: Do not subtract all liabilities indiscriminately or double count operating payables already in working capital.

054 When should you use P/E, EV/EBITDA, EV/sales and P/B?

P/E links common equity price to parent earnings after financing and tax. EV/EBITDA can help compare operating businesses with different financing, but ignores capex and depreciation needs. EV/sales is only a starting point when margins are unstable; it needs a credible margin path. P/B can be useful for financial businesses when book equity and sustainable ROE are economically meaningful. Choose the metric from business economics and comparable accounting.

> Push further: Would you use EV/EBITDA for a bank? Deposits and interest are operating inputs, so conventional industrial EV logic is often unsuitable.

Watch for: A multiple is not cheap without a justified earnings or return base.

055 Why can a low P/E be a value trap?

Earnings may be cyclically high, inflated by one-offs, under-depreciated, credit-driven or unsustainable under competition. Debt, dilution, weak cash conversion or poor capital allocation may prevent earnings from reaching shareholders. Forecast mid-cycle earnings and the capital required to sustain them. Your Websol and Modi notes are good practice cases: distinguish attractive reported multiples from risk-adjusted owner cash flows.

> Push further: What single operating variable would turn the cheap stock expensive?

Watch for: A 50% fall from the high says nothing by itself about intrinsic value.

056 How do you value a cyclical company?

Build scenarios around volume, price/spread, utilisation, costs and capital spending across the cycle. Estimate mid-cycle margins and sustainable returns on capital rather than extrapolating peak earnings. Check balance-sheet survival at trough conditions. Use replacement cost and normalised multiples as cross-checks, recognising that obsolete assets may not earn their replacement cost.

> Push further: Why can a stock have its lowest P/E near the top of the cycle?

Watch for: Do not assume recent peak ROCE persists indefinitely.

057 What is reverse DCF and what can it prove?

Start from enterprise value and solve for the operating assumptions required to justify it under a specified discount rate and reinvestment model. For example, solve for revenue growth while holding an explicit margin path, then compare the implied share and capacity with industry economics. It identifies the expectations embedded in the price under your model. It does not uniquely reveal what every investor expects.

> Push further: If the result is 32% growth, how does it change when terminal margins fall or reinvestment rises?

Watch for: Do not claim the market assumes one exact growth rate without showing the other assumptions.

058 How do you build a sum-of-the-parts valuation?

Separate economic businesses, choose compatible valuation methods, adjust for ownership and minority claims, and reconcile parent debt, cash and central costs. Remove inter-company holdings or earnings duplication. Apply a holding-company discount only for identifiable frictions such as tax, trapped cash, governance or persistent capital allocation problems. Explain the catalyst required to monetise a discount.

> Push further: How would you value listed holdings in Pilani? Use current stakes, prices, debt and tax assumptions.

Watch for: Book value, pre-tax NAV and cash realisable by outside shareholders are different quantities.

059 Derive justified P/B for a bank.

In a simplified steady-state dividend model with clean surplus, stable ROE and growth below Ke, justified P/B = (ROE - g) / (Ke - g). Growth must be funded through retention, with payout = 1 - g/ROE. With ROE 16%, Ke 13% and g 10%, P/B is 2.0x. At ROE 15% it is about 1.67x. These are teaching sensitivities; near-equal Ke and g make the result very sensitive.

> Push further: At P/B 1.8x, Ke 13% and g 10%, implied ROE is 15.4%, not exactly 15%.

Watch for: Your note's approximate language is acceptable only if you can reproduce the exact arithmetic.

060 What is residual income valuation?

Equity value equals current book equity plus the present value of future residual income, where residual income is earnings minus the equity capital charge. A bank that sustains ROE above Ke should create value above book, subject to accounting quality and capital needs. The approach makes the excess-return fade explicit and can handle a transition better than a single steady-state P/B.

> Push further: If ROE equals Ke forever and accounting is clean, what should P/B approach? One.

Watch for: Do not use reported book unquestioningly if loss recognition or asset valuation is weak.

061 What is ROIC and how is it different from ROE?

ROIC commonly measures after-tax operating profit over operating invested capital; define the denominator, average balances, goodwill and lease treatment. ROE measures earnings attributable to common shareholders over common equity and is affected by leverage. A high ROE can come from a thin equity base rather than strong operating economics. Incremental returns help judge whether new investment is creating value.

> Push further: A project has ROIC 10% and WACC 12%. Does growth create value? Under those assumptions, additional investment destroys value.

Watch for: Reported ROCE and after-tax ROIC are not interchangeable without adjustment.

062 How do growth, reinvestment and returns connect?

Hypothetical: NOPAT 100, incremental ROIC 20%, desired growth 10%. Reinvestment required is roughly growth/ROIC = 50% of NOPAT, or 50, leaving FCFF of 50 before other adjustments. If incremental ROIC falls to 10%, the same growth needs all 100 and leaves no FCFF. Growth is valuable when the future returns earned justify the capital and risk.

> Push further: What if a company grows through acquisitions? Include purchase consideration and integration economics.

Watch for: Do not forecast rapid growth with flat working capital and maintenance-only capex unless the business model supports it.

063 How do you construct a three-statement model?

Import three to five years of audited history; build an assumptions sheet; forecast segment revenue, costs, working capital, capex, depreciation, debt, interest, taxes, equity and cash. Link statements with a cash roll-forward and balance-sheet check. Add supporting schedules and scenarios. Separate historical values, forecast assumptions and formulas, document sources, and avoid unexplained plugs. Circular interest calculations need a deliberate policy.

> Push further: What checks would you run? Balance sheet, cash bridge, debt roll-forward, retained earnings, diluted shares and unit consistency.

Watch for: A model that balances through an arbitrary other-assets plug is not validated.

064 How do you forecast revenue and margins?

Choose operational drivers: units x net realisation for autos, subscribers x ARPU for telecom, or billable effort x realisation for services. Add segment mix, geography and FX where relevant. Margins should reflect gross spread, fixed-cost absorption, wage/input inflation, pricing and investment. Use management guidance as one input, then test it against capacity, order conversion, competitors and historical execution.

> Push further: What happens to margin if price rises but volume falls?

Watch for: Do not assume all revenue growth has the same incremental margin.

065 How do you run sensitivity and scenarios?

A sensitivity changes one or two variables to show local valuation dependence. A scenario changes a coherent set of operating and financial assumptions: lower demand may bring pricing pressure, underutilisation, working-capital stress and higher financing cost together. Present bear/base/bull values and what would produce each, without implying precise probabilities from judgement alone.

> Push further: Why is the IRR of an expected terminal value different from the expected scenario IRR?

Watch for: Probability-weighted target value is not automatically an expected annualised return.

066 What is the difference between target price, upside, CAGR and IRR?

Target price is a value at a stated date. Upside is target/current price minus one. CAGR annualises one starting and one ending value: (ending/beginning)^(1/years) - 1. IRR uses dated intermediate cash flows. If dividends arrive over three years, putting them all into an end-year value gives a terminal-wealth annualisation, not the exact cash-flow IRR. State whether dividends are reinvested and whether fees and tax are included.

> Push further: HDFC base 1,121/707 over three years annualises to about 16.6%, under the terminal-wealth simplification.

Watch for: Do not call a three-year value including dividends a twelve-month price target.

067 How do you reconcile a target with the market price?

Decompose the gap into forecast earnings/book value, valuation multiple, discount rate, non-operating assets and time horizon. Compare your estimates with a dated consensus source only if you actually have it; otherwise do not claim to be above consensus. Explain what you believe is mispriced, why it can persist and what data could close it. Update the expected return at the interview-date share price.

> Push further: If the price rises 20% before interview and nothing else changes, would you still buy?

Watch for: Other analysts' targets are a cross-check, not evidence that yours is correct.

07 Business analysis and research process

An investment view needs a business mechanism, evidence, valuation and a way to know when it is wrong. These questions test whether you can move beyond ratios.

068 How would you analyse a company you have never seen?

First understand how money is earned: customer, product, pricing, distribution and cost base. Read the latest annual report, recent results and notes, debt/rating reports and peers. Build historical economics and capital allocation, then forecast the few drivers that matter. Separate what I know, what I infer and what I need to verify. End with a research decision: invest, avoid or investigate further, with a valuation range.

> Push further: You have only two hours. Prioritise business model, cash/debt, latest results, governance and valuation expectations.

Watch for: Do not begin with the stock chart and search for supporting reasons.

069 What is a moat, and how do you test it?

A moat is a mechanism that protects attractive incremental returns against competition: switching costs, network effects, scarce rights, cost advantage or distribution, for example. Test it with customer behaviour, pricing, retention, competitor returns and reinvestment economics. High historical market share alone is not enough. Identify what competitors would have to spend or change to erode the advantage.

> Push further: Could growth weaken the moat? Expansion into low-return segments can dilute economics.

Watch for: Brand familiarity is not a substitute for evidence of pricing power.

070 How do you distinguish a great business from a great stock?

A great business can sustain attractive economics and reinvest at high returns. A great stock must also offer an adequate expected return at the purchase price and with realistic risk. I would compare what the price already implies with a conservative operating forecast. If the business needs exceptional execution merely to meet my hurdle, it can be a watchlist company rather than a buy.

> Push further: Would you buy the best company at any price? Explain the implied return.

Watch for: Do not use quality as permission to ignore valuation.

071 What is a variant perception?

It is a specific, evidence-backed difference between my view and the expectations embedded in the price or a documented consensus. It might concern margin duration, reinvestment needs or capital allocation, not merely a higher target. I should name the variable, estimate the earnings/value impact and specify the evidence that could resolve the disagreement. Without a defensible benchmark for expectations, I would call it my thesis rather than a consensus variant.

> Push further: What does the market understand that you may be missing?

Watch for: Everyone knows demand will grow is not a differentiated view.

072 How do you evaluate management?

Compare past promises with delivered operating and capital outcomes across a cycle. Examine related-party dealings, incentives, dilution, acquisitions, disclosures, treatment of minority holders and response to errors. Separate integrity, competence and capital allocation: strength in one does not guarantee the others. Use public evidence and ask questions that can be verified later.

> Push further: Would strong execution overcome weak integrity? Explain your investment veto policy.

Watch for: Access to management does not make their claims independently true.

073 What would you ask management in a meeting?

Ask questions that distinguish competing explanations: what changed in customer mix, how receivables convert, what incremental returns new capacity will earn, what triggers capex cancellation and how pricing compares with input costs. Refer to a specific disclosed inconsistency and ask for reconciliation. Avoid requests for unpublished earnings numbers or other UPSI. Record what was said and verify it against later public disclosures.

> Push further: Ask HDFC about funding mix, not just when will margins recover. Ask M&M for mix-adjusted margin drivers.

Watch for: Do not claim meetings you have not attended.

074 What are channel checks and how would you do them?

They are structured conversations or observations across distributors, customers, suppliers and competitors to test publicly researchable business trends. Define the hypothesis and sample, avoid leading questions, document location and timing and compare several sources. Respect confidentiality and compliance boundaries; do not solicit material non-public numbers. Channel observations are noisy samples, not a complete sales dataset.

> Push further: How would you detect dealer inventory build despite good wholesales?

Watch for: Researching how to do channel checks is not the same as having done them.

075 How do you read an annual report efficiently?

Read the business and segment description, audit opinion and key audit matters, cash flow, debt, related parties, contingent liabilities, share changes, accounting policies and management discussion. Compare at least several years rather than reading one narrative in isolation. Mark what changed and tie it to the model. Reconcile the glossy operational story with cash conversion and returns on investment.

> Push further: Which note is most important? It depends on the thesis: revenue, receivables, debt or investments may dominate.

Watch for: Do not treat an unqualified audit as a guarantee against all economic risk.

076 How do you handle contradictory sources?

Prioritise exchange-filed results and audited reports, then company presentations, transcripts, regulator data and credible independent sources. Check dates, units, consolidation basis and whether figures were restated. Keep a reconciliation table and flag the unresolved difference rather than selecting the convenient number. A transcript can explain a number but cannot silently replace the filed statement.

> Push further: Your note says SUV margin. Is the disclosed metric actually auto core PBIT margin? Reconcile scope.

Watch for: Date and accounting basis often explain apparent contradictions.

077 How do you screen a sector without overfitting?

Choose a small number of economically distinct criteria, define their scale before seeing the winners and document weights. Test whether results change under reasonable weight changes and look for duplicated signals. Your ten-sector score is a prioritisation aid; it cannot establish fair value by itself. Use it to choose where to do deeper company research.

> Push further: Do earnings cycle, growth and momentum partly count the same thing?

Watch for: Do not present an ordinal score out of 25 as a calibrated probability of outperformance.

08 Banking and NBFC interviews

This chapter is essential for your HDFC Bank pitch. Use the bank's own definitions for average versus period-end balances, asset yield, NIM and credit costs. Never compare ratios with different denominators.

078 How does a bank earn money?

It earns a spread between income on loans/investments and the cost of deposits/other funding, plus fees and other income. From that it pays operating costs, credit losses and tax. Growth consumes capital and liquidity. I would analyse funding quality, asset pricing and mix, operating efficiency, underwriting and capital adequacy together; rapid loan growth is not valuable if losses or funding costs overwhelm the spread.

Push further: Why are deposits an advantage? Stable granular funding can lower cost and improve resilience.

Watch for: A bank's debt is part of its operating model, not simply industrial leverage.

079 NII, NIM, spread and ROA: explain the differences.

NII is interest income minus interest expense in currency units. NIM is annualised NII divided by a stated average asset base, often interest-earning assets or total assets. Spread is asset yield less funding cost, with its own denominators. ROA is profit over average assets and includes fees, costs, provisions and tax. Higher NII can coexist with lower NIM if the balance sheet grows.

Push further: HDFC reports NIM on both total and earning assets; compare like with like.

Watch for: Do not subtract two ratios that use inconsistent denominators and call the result NIM.

080 How does a rate hike affect a bank?

The immediate effect depends on repricing gaps: externally benchmarked floating loans can reset faster than deposits, but funding competition and deposit maturity schedules matter. Bond values, treasury income, demand and future credit losses can offset spread benefits. I would build the impact by asset and liability buckets rather than assume all banks benefit. Over time deposit repricing can reverse the initial uplift.

Push further: Could NIM fall after a hike? Yes, due to mix, funding costs or other repricing dynamics.

Watch for: A higher repo rate does not mechanically translate into a fixed NIM increase.

081 What makes CASA useful, and what are its limits?

Current and savings deposits can be lower-cost and relationship-rich funding, but a headline CASA ratio is not the whole franchise. Examine absolute balances, average versus period-end amounts, customer granularity, deposit concentration, product pricing and attrition. CASA may fall because term deposits grow faster even while CASA itself grows. Sustainability of all-in funding cost matters more than maximising one ratio.

> Push further: What if a bank raises expensive deposits to replace even more expensive wholesale funding?

Watch for: A lower CASA ratio is not automatically deterioration in every funding dimension.

082 What does the credit-deposit ratio tell you?

It compares loans with deposits on a defined basis and highlights funding balance. A high ratio can indicate dependence on borrowings or limits to incremental growth; a low ratio can reflect liquidity or weak deployment. Use a consistent definition and examine liquidity coverage, stable funding, wholesale maturity and off-balance-sheet exposures. A ratio is a symptom to investigate, not a universal target.

> Push further: HDFC gross advances 32,195 / deposits 33,274 billion implies about 96.8% on this simple period-end basis.

Watch for: Do not confuse this simple calculation with every regulatory or management definition.

Evidence / reference: [S5] [S6]

083 GNPA, NNPA, slippage, PCR and credit cost: define them.

GNPA is the gross stock of classified non-performing loans relative to the relevant gross advances. NNPA adjusts for applicable provisions and uses a net denominator. Slippages are fresh additions to bad loans during the period. PCR describes provision coverage under a specified definition. Credit cost is the period's credit-loss charge relative to the relevant loan base, often annualised. Track flows, write-offs and recoveries, not just the ending bad-loan ratio.

> Push further: Can GNPA improve while underwriting worsens? Rapid loan growth or write-offs can reduce the ratio.

Watch for: A falling bad-loan stock ratio does not alone prove lower credit risk.

084 What are CET1, CRAR, LCR and NSFR?

CET1 is the highest-quality regulatory capital relative to risk-weighted assets. CRAR includes eligible additional capital tiers under the applicable framework. LCR tests high-quality liquid assets against stressed short-horizon net outflows; NSFR addresses more structural funding stability. For valuation, examine capital generation, required buffers and whether projected growth requires dilution. Quote institution-specific requirements only after checking applicable RBI rules.

> Push further: HDFC's current filing distinguishes total CAR from CET1. Do not interchange them.

Watch for: An online summary incorrectly reversing these ratios would produce a materially wrong answer.

Evidence / reference: [S5]

085 How would you build a bank model?

Forecast average loans and investments by mix, yields, deposits and borrowings, funding costs, fees, opex, provisions and tax. Build average and period-end balances, equity retained after dividends, risk-weighted assets and capital ratios. Test liquidity and funding constraints. Value with a residual-income, dividend or justified P/B framework and separately handle subsidiary value consistently.

Push further: Where does credit growth come from: deposits, retained capital, wholesale funding or asset sales?

Watch for: Do not force a conventional industrial FCFF working-capital model onto a bank.

086 Why can ROA improve while ROE falls?

ROE approximately equals ROA times assets/equity on compatible average balances, so more equity capital can lower ROE despite improving ROA. Business mix, non-controlling interests and accounting differences can also break simple comparisons. Analyse the capital requirement rather than treating leverage as free improvement. A bank with a slightly lower ROE may have more loss-absorbing capacity.

Push further: What ROE can HDFC earn at its target capital ratio and your projected ROA?

Watch for: Use average balances and the same standalone/consolidated basis.

087 How do NBFCs differ from banks?

Funding access, liability mix, regulatory capital and business focus differ. Many NBFCs rely more on market borrowings and bank lines, making asset-liability matching and refinancing especially important. Analyse product-level yields, losses, collection efficiency, securitisation, liquidity and liability maturity. For Ind AS reporters, understand stage 1/2/3 ECL and avoid mechanically equating stage 3 with every bank NPA definition.

Push further: What happens if an NBFC's borrowing spread widens by 100 bps?

Watch for: Do not value high growth without considering liquidity and funding concentration.

09 Your HDFC Bank pitch: defend and improve it

Your 22-Oct-2026 pitch uses INR 707 as of 21-Oct, a three-year base terminal wealth of INR 1,121 including dividends, and a funding-normalisation thesis. These are your dated assumptions, not a verified latest quote. The current primary-source dashboard appears later. Rebuild the model before the interview.

088 Pitch HDFC Bank in two minutes.

My dated case is that the price may underestimate improvement in the bank's funding mix and sustainable returns after the merger. I value the bank through book-value growth and sustainable ROE rather than a recovery to its historical peak multiple. My original base case uses an exit P/B of 2.0x and a three-year terminal wealth around INR 1,121 including dividends from a reference price of INR 707. The key risk is that better funding does not translate into higher shareholder returns. I would update the entry price, subsidiary treatment and latest operating data before recommending a position.

> Push further: Why now, what is mispriced, and what would make you sell? Answer each in one sentence.

Watch for: This is a rehearsal of your dated analysis, not an instruction to buy today.

Evidence / reference: [U3]

089 What did the latest HDFC results do to your thesis?

The latest filing shows a mixed picture: improved asset quality and growth, but continued pressure in the interest margin and a lower CASA mix. That supports monitoring the franchise but does not establish that funding normalisation is complete. I would revise the model using the latest balance-sheet mix, distinguish headline from underlying growth and ask what margin improvement is needed to earn my assumed ROE. My response should become more conditional, not more promotional.

> Push further: Use the sourced current dashboard rather than your old peer table. Read the new transcript before the interview.

Watch for: A 4.7% PAT increase and an adjusted ex-treasury growth measure are different metrics.

Evidence / reference: [S5] [S6] [S7]

090 Why HDFC over ICICI or Axis?

My dated thesis compares expected return, not an absolute ranking of management quality. ICICI may deserve a premium if it sustains better profitability and execution; HDFC is attractive only if the discount more than compensates for its slower recovery and risks. I would compare all banks on the same date, forecast horizon and core bank valuation basis, then show sensitivity to sustainable ROE and credit costs. The inherited table mixes HDFC Q2 information with older peer data, so it needs updating.

> Push further: If ICICI's better returns persist for five years, is its premium actually expensive?

Watch for: Do not infer mispricing just because two banks have similar P/B and different ROA.

Evidence / reference: [U3]

091 Is the 2.0x exit P/B assumption internally consistent?

It can be reproduced by steady-state ROE 16%, Ke 13% and g 10%, but that formula is highly sensitive and assumes mature economics. At Ke 14% with the same ROE and growth, justified P/B falls to 1.5x. I would model the transition and fade with residual income, test lower long-run growth and use plausible payout/capital requirements. A historical multiple is a cross-check, not the derivation.

> Push further: Can a 16% ROE fund 11% book-value growth? It implies retention near 68.75% under simplified clean surplus.

Watch for: Do not justify a terminal multiple only with its distance from the five-year average.

092 Reconcile your INR 1,121 HDFC base value.

Starting BVPS 393.8 grown for three years at 11% becomes about 538.57. At 2.0x, the exit stock value is about 1,077.15. Adding 44 of assumed dividends gives terminal wealth about 1,121.15. The three-year annualisation versus 707 is about 16.6%. The next checks are whether the book basis includes subsidiaries, whether retained earnings support that growth and whether the 44 dividends are consistent with the payout assumption.

> Push further: If dividends arrive annually, calculate XIRR using the actual assumed dates rather than calling terminal-wealth CAGR exact IRR.

Watch for: This checks arithmetic only; it does not validate your operating assumptions.

Evidence / reference: [U3]

093 Are you double-counting subsidiary value?

That is a real risk. If I value the core bank separately and add subsidiary equity values, I must remove subsidiary investment book value or duplicated earnings as appropriate. If I use total reported book and a whole-bank multiple reflecting the same assets, adding a separate subsidiary value can overstate equity. I need an explicit bridge from standalone bank equity to adjusted core book and then subsidiaries, with ownership and taxes documented.

> Push further: Your pitch mentions stripping out subsidiary value in a pricing argument. Does the base model use the same basis?

Watch for: Do not subtract market value from book value casually: valuation and accounting adjustments need a coherent bridge.

094 What is wrong with waiting until all three exit tests fail?

Requiring NIM, CASA and ROA all to fail can delay action when one economically decisive signal already invalidates the thesis. I would use a hierarchy: immediate review for governance or underwriting impairment; a model revision for persistent funding or margin slippage; and position changes based on revised expected return and risk. The original numeric levels are research triggers, not substitutes for judgement. A single bad quarter may still be noise.

> Push further: What would you do if CASA improves but ROA structurally falls because credit costs rise?

Watch for: Do not defend an AND condition merely because it is written in your note.

Evidence / reference: [U3]

095 How does the FCNR funding detail change your analysis?

The current key-parameters disclosure identifies FCNR leverage loans in retail advances, and the transcript discusses the special funding window. I would strip out or separately model that temporary effect when judging normal growth, funding cost and margin. The question is whether the new balance-sheet mix creates sustainable returns after hedging and associated costs. This is a more precise follow-up than extrapolating headline growth.

> Push further: Ask which growth is organic and what a full quarter of the funding mix does to NIM.

Watch for: Do not label every foreign-currency deposit cheap funding without considering hedging and asset deployment.

Evidence / reference: [S6] [S7]

096 What if the stock falls another 20%?

I would first check whether the new information changes expected cash returns, capital needs or governance risk. If price falls with no thesis change, the expected return may improve, but position size still depends on portfolio risk, liquidity and uncertainty. If the thesis worsens, a cheaper price alone is not a reason to add. I would show the revised model and decide among add, hold, trim or exit under the actual mandate.

> Push further: What piece of evidence would stop you averaging down?

Watch for: Do not use the old target price as an anchor after fundamentals change.

10 Your M&M pitch and the auto sector

M&M is not just one SUV product. Separate auto, farm, financial services, listed subsidiaries and new businesses, and use segment definitions exactly as disclosed. Your original margin labels and peer comparison require careful reconciliation.

097 Pitch M&M in two minutes.

My dated view is that a temporary input-cost squeeze may obscure the earnings power of a strong auto and tractor franchise. The original base case uses 12% EPS growth over three years and a 19x exit multiple, with terminal wealth around INR 4,498 including dividends, against INR 2,889 on 21-Oct. I would defend the return through units, mix, pricing and segment margins, then check the valuation using SOTP. Key risks are share loss, persistent margin pressure, weak rural demand and poor returns on new capital.

> Push further: Why is the issue temporary? Show input-price, pricing and margin-bridge evidence rather than assuming normalisation.

Watch for: Your sector comparison does not itself prove M&M is cheap.

Evidence / reference: [U3]

098 Reproduce the M&M base case.

Hypothetical reconstruction from your assumptions: starting EPS 164.35 x 1.12^3 is about 230.90. At 19x, exit price is about 4,387.1. Add approximately 111 of assumed dividends to reach 4,498.1 terminal wealth. Against 2,889, the three-year annualised terminal-wealth return is about 15.9%. Reconcile diluted shares, normalised EPS, associate income and dividend timing before labelling this exact IRR.

> Push further: At the same earnings and an unchanged 17.6x multiple, terminal wealth is around 4,175, or about 13.1% annualised.

Watch for: The base case does include re-rating from 17.6x to 19x. Say modest re-rating, not no re-rating.

Evidence / reference: [U3]

099 Why is the peer valuation chart vulnerable?

It mixes trailing earnings for some companies with FY28 estimates for others, and the businesses differ in mix and returns. Forward denominators can make fast-growing peers appear cheaper. I would rebuild the table on the same forecast year and accounting basis, then adjust for growth, capital intensity, subsidiaries and risk. If I cannot access reliable comparable forecasts, I would show a trailing comparison with clear limits.

> Push further: Would a two-wheeler company deserve the same multiple as a tractor/SUV conglomerate?

Watch for: Do not claim a discount of a precise magnitude from incompatible multiples.

Evidence / reference: [U3]

100 What is the difference between wholesales and retails?

Wholesales are dispatches to dealers; retails are sales or registrations to end customers under the chosen dataset. A strong wholesale month can reflect inventory build rather than demand. Compare retail, channel inventory, discounts, bookings, cancellations and delivery timing, noting registration-data coverage. Festival timing and base effects can distort year-on-year comparisons.

> Push further: Mahindra's current monthly release reports company dispatch measures; do not call them Vahan retail registrations.

Watch for: Avoid inferring sell-through from factory dispatches alone.

Evidence / reference: [S8]

101 How would you build M&M revenue and margin forecasts?

Forecast auto units by category, net realisation and mix; farm units and realisation; then other segments on their own drivers. Build commodity, supplier, freight, warranty and employee costs, fixed-cost absorption and pricing. Separate core auto profitability from EV investment and from financial-services earnings. Reconcile standalone, consolidated and parent PAT. A useful bridge shows whether margin recovery needs lower inputs, higher prices or better mix.

> Push further: What if volume grows but the sales mix shifts toward lower-margin products?

Watch for: Do not call a broad auto core PBIT metric a pure SUV margin without checking the definition.

102 How does the monsoon affect tractors?

The transmission is through regional rainfall distribution, sowing, crop yields, reservoir levels, crop prices, rural cash flow and financing access. National rainfall alone is insufficient. Track agricultural economics and dealer inventory alongside replacement demand and product mix. Tractor purchases can be delayed even when the long-term mechanisation story is intact.

> Push further: How would higher food prices help and hurt rural demand simultaneously?

Watch for: Do not explain every monthly decline as a base effect without supporting two-year or season-adjusted comparisons.

103 How do you assess M&M's EV investment?

Model units, net realisation, battery and component costs, warranty, distribution, engineering and capex separately. Distinguish contribution, EBITDA, EBIT and after-tax return on invested capital. Test subsidy/PLI dependence and whether capital raised at a subsidiary changes parent ownership. Valuation should reflect customer adoption and economics after capital requirements, not only bookings or launch excitement.

> Push further: What happens if rapid product innovation shortens platform life?

Watch for: Positive EBITDA is not proof that a capital-intensive EV business earns its cost of capital.

104 What would make you withdraw the M&M recommendation?

Sustained share deterioration unexplained by capacity or deliberate pricing choices, weakening mix-adjusted margins after inputs stabilise, poor capital allocation or an expensive price with reduced expected return would prompt revision. I would monitor retail demand and segment economics, not just consolidated PAT. Your original share and margin thresholds are starting triggers; substantiate their definitions and why those levels matter economically.

Push further: Would you sell after a price rise if the business improves faster than expected? Re-estimate expected return.

Watch for: Do not set exit rules so wide that they cannot protect against a broken thesis.

Evidence / reference: [U3]

11 Your avoid notes: turn red flags into judgement

All specific historical figures in this chapter come from your supplied dated notes unless a separate source is named. They have not all been independently re-underwritten. In an interview, distinguish your calculation from a verified filing fact, and bring the underlying filing for the chosen example.

105 Pitch one stock you would avoid: MIC Electronics.

My dated avoid case is that the price appeared demanding relative to normalised earnings and cash conversion. The note highlights long receivable days, dilution and an unusually large gap between profit measures. I would lead with the cash-collection concern and show the receivable ageing, operating cash flow, consolidated basis and tax adjustment. I would not accuse management of wrongdoing without evidence. Reconsideration needs demonstrated cash collection and a valuation that compensates for residual risk.

> Push further: Your promoter-stake decline includes possible dilution. How much is actual selling?

Watch for: Do not quote 375 debtor days without showing how you calculated it.

Evidence / reference: [U4]

106 Why avoid Websol if the reported P/E is low?

The key question is whether current margins represent a sustainable advantage or a temporary domestic supply premium. My note normalises margins and taxes, models capacity expansion and funding, and then assesses per-share earnings. The low trailing P/E becomes less compelling when new supply compresses spreads or capex demands debt/equity funding. I would verify policy dates and the actual expansion plan from current official disclosures before using the specific forecasts.

> Push further: What happens if volumes triple but unit profit halves and shares rise?

Watch for: A policy-supported market is not a permanent margin guarantee.

Evidence / reference: [U4]

107 What is the E2E Networks debate?

The business may have real AI infrastructure growth while the stock still requires ambitious utilisation and pricing. My note focuses on GPU capex, replacement economics, customer concentration, funding and dilution. I would build GPU-hours x utilisation x net price, subtract power, hosting, service and maintenance, and fund replacement capex. Accounting useful life should be tested against commercial demand for older hardware, not assumed equal to the newest product cycle.

> Push further: How much maintenance/replacement cash is required to sustain today's revenue?

Watch for: Do not equate EBITDA payback with full economic payback, or claim hardware becomes worthless every product cycle.

Evidence / reference: [U4]

108 Why is a one-off order relevant to Divgi?

A temporary export programme can create a strong reported growth rate and fixed-cost absorption that will not persist. I would separate recurring platform demand from the order, model the expiry schedule and ask what replaces it. If the market values temporary earnings as permanent, normalised EPS can be lower than the next reported year. Still, cash and genuine new programmes can support value, so the decision is about price and sustainable economics.

> Push further: What evidence would show the customer order is recurring after all?

Watch for: The order size and end date in your note require source verification before assertion.

Evidence / reference: [U4]

109 Why might Modi Naturals not be cheap at a single-digit P/E?

My note treats the group as an ethanol exposure plus an oils business rather than one homogeneous earnings stream. The investment depends on allocation/tender volume, feedstock economics, utilisation, working capital and funding. I would model each segment and normalise earnings, then assess governance and credit information carefully. A low multiple may compensate for concentration and policy risk rather than represent an oversight.

> Push further: What is the downside if utilisation stays low while debt service is fixed?

Watch for: A rating labelled issuer not cooperating is a disclosure/research concern; it is not automatically a default.

Evidence / reference: [U4]

110 Why does Pilani's NAV discount not guarantee upside?

Outside shareholders may not realise look-through asset value because of tax, holding costs, limited distributions, leverage and future capital allocation. A discount can persist or widen without a credible monetisation catalyst. I would calculate pre-tax and post-tax NAV from current stakes and prices, subtract debt/other claims and test the effect of further debt-funded investment. The investment needs an adequate return without assuming the discount closes fully.

> Push further: Your note suggests a small position. What portfolio downside comes from holding-company leverage and correlated underlying assets?

Watch for: Cheap to NAV is not the same as cheap to cash available to shareholders.

Evidence / reference: [U4]

111 Does an avoid call mean you should short the stock?

No. Avoid means it fails my long-investment hurdle. A short also needs an attractive downside path, a catalyst, borrow availability, manageable carry, liquidity and risk controls. An expensive company can keep compounding or re-rate further. A leveraged or crowded short can lose money even if the eventual business concerns prove correct. I would specify what instrument and mandate allow implementation.

Push further: Which of your avoid notes has a measurable catalyst rather than just an expensive multiple?

Watch for: Never present an untested avoid list as a live short portfolio.

12 Sector questions beyond your two buy ideas

Learn the economic drivers and accounting traps, not a memorised sector ranking. These are analytical frameworks; company-specific current earnings must come from the latest filings.

112 How would you analyse Bharti Airtel?

Build India mobile subscribers, ARPU, churn, data consumption and revenue market share, then enterprise, homes and Africa where material. Forecast network/spectrum investment, lease cash flows, spectrum liabilities, debt and currency effects. Evaluate incremental free cash flow after capex rather than valuing EBITDA growth alone. Use EV/EBITDA or SOTP with a consistent lease and spectrum treatment. A tariff increase creates value only if retention, competition and capital intensity allow it.

> Push further: ARPU rises 5% and subscribers fall 2%: revenue changes about +2.9% before mix effects.

Watch for: Do not present the 7-Oct Airtel note as updated for results released later.

Evidence / reference: [U4]

113 How would you analyse IT services in the AI transition?

Separate client demand, billable volumes, pricing, utilisation, subcontracting, employee mix and FX. AI can reduce effort for existing work, pressure billing and create new implementation demand; the net effect depends on contracts and value capture. Examine conversion of bookings into revenue, renewal pricing and margin. Distinguish total contract value from revenue recognised in the next year.

> Push further: What would show productivity savings are retained rather than competed away?

Watch for: AI adoption is not automatically a revenue accelerator or a terminal decline story.

114 How would you analyse an FMCG company?

Split revenue into volume, price, premiumisation, category/geography and acquisitions. Examine distribution productivity, market share, advertising, commodity costs and working capital. Separate gross-margin recovery from sustainable demand. At high multiples, test how much runway is needed to justify the price. Distributor loading can flatter reported sales, so use sell-through evidence where available.

> Push further: Can revenue rise with volumes falling? Explain inflation-led growth and its limits.

Watch for: Do not confuse rural distribution expansion with immediate profitable consumption.

115 How would you analyse pharma?

Separate branded domestic formulations, US generics, specialty, APIs and contract manufacturing. Track price erosion, launches, R&D, product concentration, regulatory inspections, plant remediation and litigation. One-off settlement or launch profits should not set normalised EPS. Value different segments appropriately and build probability/timing scenarios for uncertain products.

Push further: What does an adverse plant inspection do to revenue, cost and valuation?

Watch for: A large addressable market is not the same as an approved, commercially viable product.

116 How would you analyse hospitals?

Model occupied bed-days x revenue per occupied bed-day, plus the cost structure. Track occupancy, operational beds versus installed beds, payer/specialty mix, length of stay, clinician cost, new facility ramp-up and capex. Separate mature-unit economics from new hospitals. Lease treatment and acquisition goodwill can distort peer multiples.

Push further: Higher ARPOB but lower occupancy: what happens to fixed-cost absorption?

Watch for: Do not extrapolate mature-hospital margins into a new facility immediately.

117 How would you analyse capital goods or defence?

Bridge addressable opportunity to executable orders, then revenue, margin and cash. Analyse order quality, cancellation terms, customer concentration, advances, supply-chain capability and working-capital intensity. Use expected execution dates and assess capacity needed to deliver. Defence procurement budgets or an order book are not immediate profits.

Push further: How much of the order book is executable next year and at what margin?

Watch for: Book-to-bill is useful but cannot replace delivery and cash-collection analysis.

118 How would you analyse cement or metals?

Model volumes, realisations/spreads, utilisation, energy/input costs, logistics and maintenance/growth capex. Check regional supply/demand and balance-sheet survival under weak pricing. For cement, EBITDA per tonne helps compare operations but needs freight and geography context. For metals, cost-curve position and commodity assumptions dominate. Use mid-cycle returns and avoid valuing peak profits as permanent.

Push further: What happens if volume is flat but energy cost rises faster than selling price?

Watch for: Low replacement-cost valuation can persist if assets do not earn their cost of capital.

119 How would you analyse power or renewable equipment?

Separate regulated utilities, generation, transmission, EPC and equipment manufacturing. For regulated assets, understand allowed returns, tariff recovery and receivables. For generation, analyse contracted tariffs, fuel, utilisation and debt service. For solar equipment, test capacity additions, technology, policy eligibility and sustainable unit margins. A good industry growth rate does not imply good manufacturer returns.

Push further: Which risk belongs in cash flow and which in the discount rate?

Watch for: Do not mix merchant-power risk with regulated-utility economics.

120 How would you analyse an AMC as a listed business?

Revenue depends on average fee-earning AUM, asset/product mix and realised fee yield, plus permitted other income. Separate market appreciation from net flows and compare equity, debt, passive and alternatives. Model distribution and operating costs, fee pressure and regulatory constraints. Cash generation can be strong, but cyclicality and a high valuation can still impair returns.

> Push further: If AUM rises 10% but fee yield falls 15%, revenue is roughly down 6.5%, before mix changes.

Watch for: SIP collections are not identical to net equity inflows or incremental fee-earning AUM.

121 How would you analyse an exchange or broker?

Separate trading volumes, premium/turnover definitions, product mix, effective fees, operating leverage and ancillary revenue. Stress rule changes, competition, concentration and market cyclicality. For brokers, include active clients, revenue per client, funding economics, acquisition costs and technology/compliance expense. Model what happens if volumes shift to lower-fee products.

> Push further: Could transaction count grow while revenue falls?

Watch for: Notional derivatives turnover, option premium turnover and exchange revenue are different measures.

122 How would you analyse insurance?

For life insurers, understand new business premium, annualised premium equivalent, value of new business, margins, persistency, product mix, solvency and embedded-value assumptions. For general insurers, analyse premiums, claims/loss ratio, expenses, combined ratio, reserve quality and investment returns. Accounting and actuarial judgement differ from ordinary industrial companies.

> Push further: Why can strong new-business growth consume capital?

Watch for: Do not compare life insurer P/E with bank P/E as though the earnings bases are identical.

123 How would you value an early-stage or loss-making company?

Forecast unit economics, cohort retention, contribution margins, operating cost scale, reinvestment and cash runway. Build a credible route to mature returns and financing needs, including dilution. Use scenario DCF and comparable multiples only with justified eventual margins. The key question is whether profitable growth survives competition and capital costs.

> Push further: What if break-even slips two years? Show funding and ownership consequences.

Watch for: Negative current earnings do not remove the need for valuation discipline.

13 Current situation: the dated interview briefing

Verified information available by 24 October 2026 is summarised below. This is a dated edition, not a live feed. State the release period and date when speaking. Forecasts are not actual outcomes, and analytical implications below are proposed views. Refresh prices and any intervening releases before your interview.

Policy and inflation facts

RBI decision, 7-Oct-2026: repo 5.50%, raised 25 bps; stance calibrated tightening. FY27 real GDP growth forecast 7.1%; CPI forecast 5.2%. These are RBI projections, not realised FY27 data. [S1] September CPI, released 12-Oct: headline 5.54% YoY provisional; food inflation 7.74%; August headline final 4.83%; base 2024=100. [S2] Fed decision, 16-Sep: target range raised 25 bps to 3.75-4.00%. [S3]

Domestic flows fact

AMFI reports September 2026 SIP contributions of INR 32,490 crore. This is gross SIP collection, not net equity-scheme inflow, total domestic institutional buying or a floor under share prices. [S4]

HDFC Bank: latest operating facts

Q2 FY27, quarter ended 30-Sep, results released 17-Oct: standalone PAT approximately INR 19,510 crore, +4.7% YoY; NII +9.7%; NIM 3.16% on total assets and 3.32% on earning assets; period-end deposits +18.8% and gross advances +16.3%; CASA 31.6%; GNPA 1.11%, NNPA 0.37%; total CAR 18.9%, CET1 17.1%. Figures are rounded from the bank release. [S5] Key-parameters note includes INR 548 billion FCNR leverage loans in Q2 retail advances. [S6] Read the 17-Oct call transcript, published 23-Oct, for interpretation. [S7]

M&M: separate monthly sales from quarterly profit

September auto release, 1-Oct: domestic SUVs 64,092 units, +14% YoY; total vehicles including exports 114,874, +15%. [S8] September farm release: domestic tractors 50,208, -23% YoY; April-September domestic tractors +6%. [S9] Q1 FY27 release, 30-Jul: consolidated revenue INR 58,188 crore, +28%; PAT after NCI INR 5,455 crore, +34%; SUV revenue share 25.0%, tractor share 44.9%. [S17] These do not establish Q2 margins. Do not invent results for an unreported quarter.

Fresh result to discuss: Infosys

The 23-Oct-2026 company exchange filing reports Q2 FY27 revenue USD 5,145 million, constant-currency growth 1.5% YoY and 1.2% QoQ. FY27 constant-currency revenue guidance is 1-2%; operating-margin guidance 20-22%. [S18] Interpretation: test the path from AI demand and deal wins to recognised revenue, pricing and margin; a large headline opportunity is insufficient.

Current regulatory point

SEBI issued a revised scheme-categorisation circular on 26-Feb-2026. It permits both value and contra funds subject to a portfolio-overlap condition, introduces life-cycle funds, and sets conditions and transition provisions for sectoral/thematic overlap. Read the actual circular and current scheme documents; do not use an old 2017 summary as the whole current framework. [S19]

124 What is your current view on Indian equities?

As of 24-Oct, I would frame the opportunity around resilient activity versus tighter inflation and financing conditions. The latest policy and CPI readings make discount rates, pricing power and working-capital needs central to the analysis. I prefer evaluating company-specific expected returns rather than declaring the entire market cheap. My bank idea needs proof of funding/margin improvement; my auto idea needs demand and mix-adjusted profitability to withstand input pressure. Valuation and balance-sheet resilience decide what I would own.

> Push further: Name the datapoint that would weaken your view: persistent broadening inflation, lower real demand or worse credit losses.

Watch for: This is a proposed analytical answer, not a verified market consensus.

Evidence / reference: [S1] [S2]

125 What is the most important recent macro development for your stocks?

For my two ideas, the key issue is the interaction between higher inflation, monetary tightening and company pricing/funding. In banks I would assess asset/liability repricing and the quality of deposit growth. In autos I would test pricing power, affordability, commodity pass-through and financing costs. A macro headline becomes useful research only when translated into units, margins, credit cost and valuation.

> Push further: Give a sensitivity: what does a 50-bp change in your discount rate do to value?

Watch for: Do not quote an unsourced latest Brent price or exchange rate from memory.

Evidence / reference: [S1] [S2]

126 If inflation rises, which companies benefit and which suffer?

The answer depends on the source of inflation and the company's ability to pass costs through. Firms with pricing power, short repricing cycles and low incremental capital needs can be resilient. Import-dependent manufacturers with weak pricing and working-capital needs may be squeezed. Banks face mixed repricing and credit effects. Commodity producers may gain on price but face demand and policy risks. I would model the shock rather than use a fixed sector winner list.

> Push further: Does food inflation help tractor buyers? Higher crop prices can help sellers but hurt households with poor harvests or net food purchases.

Watch for: Separate nominal revenue growth from real demand and economic profit.

127 How would a weaker rupee affect your coverage?

Exporters may gain translation revenue but hedges, imported costs, overseas wages and client pricing can offset it. Importers face higher input bills unless they pass them on; foreign-currency borrowers face servicing and translation effects. For banks, assess hedges, foreign deposits and borrower exposure. Value the net exposure, not just the geographic revenue share.

> Push further: Why can an IT exporter's margin fail to rise despite INR depreciation?

Watch for: Do not assume an exchange-rate move affects revenue, profit and cash equally.

128 Do domestic SIP flows make FPI selling irrelevant?

No. Persistent domestic investment can add liquidity, but SIP collections are gross flows and need not all enter equities immediately. Net redemptions, asset allocation, valuation and ownership concentration still matter. Foreign flows also interact with currency, marginal price setting and global portfolios. I would assess business value and position liquidity rather than rely on flows to defend a stock.

> Push further: How do you distinguish gross SIP contribution from net equity inflow?

Watch for: Avoid unsupported claims of record FPI selling; fetch the date-bounded NSDL/CDSL series first.

Evidence / reference: [S4]

129 What recent earnings release would you discuss?

I would discuss the latest Infosys release because it creates a useful tension between technology opportunity and near-term revenue delivery. I would ask how AI demand, contract structure, billable effort and pricing translate into recognised growth, and whether guidance is consistent with the implied second-half run rate. I would avoid claiming an earnings surprise without a dated estimate benchmark.

> Push further: Build the implied H2 growth needed to reach the guidance range from H1 actual revenue.

Watch for: Company guidance and market consensus are different. Do not invent the latter.

Evidence / reference: [S18]

130 Would you now say HDFC funding normalisation is complete?

No. I would distinguish deposit growth and cleaner assets from the profitability evidence. The latest filing does not by itself prove the recovery in returns that my valuation requires. I would update average funding costs, term-deposit repricing, wholesale maturities and the special FCNR effect, then define which next-period observations would support or reject my thesis.

> Push further: What specifically must change in the next results for you to raise the base case?

Watch for: This answer should acknowledge disconfirming evidence, not just select the favourable headline.

Evidence / reference: [S5] [S6] [S7]

131 What is the latest fact that challenges your M&M thesis?

The current monthly farm release shows that domestic tractor volumes fell sharply year on year in September, even though half-year volumes grew. That challenges a blanket statement that demand is uniformly strong. I would examine festival timing, regional rural conditions and dealer stocks, and combine several months before concluding structural weakness or a harmless base effect. I would then check whether auto growth converts into cash and segment profitability.

> Push further: The original pitch mentions a roughly 21% fall; the official domestic figure is 23%. Use the correct series.

Watch for: Monthly dispatches alone do not prove quarterly earnings growth.

Evidence / reference: [S9]

132 How would higher US rates affect India?

Possible channels include global discount rates, dollar funding, relative asset yields, currency, capital flows and export demand. These interact with domestic inflation, policy and company-specific exposures. I would not predict a fixed FPI outflow or index fall from one rate move. In valuation, examine the currency-consistent risk-free rate, risk premium and cash-flow consequences rather than simply adding the US rate move to every INR discount rate.

> Push further: What would offset the external headwind? Domestic earnings, valuation and credible macro policy can matter.

Watch for: Do not assume the RBI must copy the Fed mechanically.

Evidence / reference: [S3]

133 What are the three market numbers you must know on interview morning?

Know the prior relevant close for your benchmark, the current price of your pitch stocks and a short macro dashboard: rates, inflation, currency, crude and government bond yield. Each needs a timestamp, unit and source. For flow questions, use a defined date range. This book intentionally does not invent a verified 23-Oct market-close sheet; fill it from the exchange and official data before interview.

> Push further: If it is a trading day, distinguish prior close from an intraday quote.

Watch for: Do not repeat the 21-Oct pitch price as today's price.

134 How do you answer a current-data question you cannot recall?

I would say: I do not remember the exact latest figure, so I would verify the official release before using it. The direction matters through these channels, and here is the sensitivity I would test. Then give a reasoned answer without inventing a number. If appropriate, offer to send a short verified follow-up. An accurate boundary is stronger than confident guessing.

> Push further: Practise answering without filler or excessive apology.

Watch for: Do not convert a forecast, monthly observation or year-old number into a current fact.

14 Portfolio construction, risk and long-short thinking

An analyst recommends a decision inside a real portfolio. Use hypothetical weights below only to show reasoning; actual limits come from the mandate, PM and risk function.

135 How would you size your best idea?

Start with expected return and downside, then assess confidence, liquidity, correlation, factor exposures and mandate limits. A simple risk-budget illustration: if I can tolerate a 1% portfolio loss from a name and estimate a 25% downside under a plausible stress, the arithmetic weight is 1%/25% = 4%. That is a starting cap, not an optimised answer; gap risk and correlated losses can require less.

> Push further: What would justify increasing the position? Better evidence, more attractive price and portfolio capacity.

Watch for: Conviction is not a substitute for a downside estimate.

136 Would you use Kelly sizing?

Kelly optimises long-run log wealth under a specified distribution and can be dangerously sensitive to estimated probabilities and payoffs. Equity outcomes are uncertain, correlated and subject to drawdowns and constraints. I might use it as a diagnostic, with conservative or fractional sizing, but would not treat a calculated full-Kelly weight as a mandate. Risk limits and liquidity still apply.

> Push further: What happens if your edge estimate is wrong?

Watch for: Do not apply a binary-bet formula mechanically to a continuous uncertain stock distribution.

137 What is the difference between absolute and relative risk?

Absolute risk concerns loss of capital, drawdown and economic impairment. Relative risk concerns deviation from a benchmark, including tracking error and active weights. A long-only AMC may face both: holding cash or avoiding a dominant index stock can create relative risk even if it reduces a specific business exposure. The analyst should explain both the company downside and the effect on the portfolio's active risk.

> Push further: If HDFC is already a large benchmark weight, is a 4% holding overweight or underweight? You need the benchmark weight.

Watch for: Raw portfolio weight is not active weight.

138 What are active share, tracking error and information ratio?

Active share is half the sum of absolute portfolio-minus-benchmark security weights under a compatible universe. Tracking error is the volatility of active returns. Information ratio is mean active return divided by tracking error on a consistent frequency and annualisation basis. High active share does not imply skill, and low tracking error can coexist with concentration in common factor bets.

> Push further: Why might a concentrated fund still have low stock-specific edge?

Watch for: Do not compare information ratios calculated over different horizons without context.

139 How do you distinguish alpha from factor exposure?

Regress or otherwise attribute returns to a sensible set of systematic exposures, inspect holdings and compare with implementable alternatives. Momentum, size, value, quality and market beta can explain apparent outperformance. Use point-in-time data, adequate samples and net costs. Residual return is model-dependent, so complement statistical attribution with a business-level decision record.

> Push further: Could your fifteen stock-selection approaches be mostly one factor?

Watch for: Calling residual return alpha does not prove it is repeatable skill.

140 How do you measure liquidity risk?

Compare intended order size with realistic traded volume and spread; estimate days to liquidate under normal and stressed participation limits. Consider free float, ownership concentration, impact, exchange circuits, borrow and investor redemption terms. Historical average daily volume can disappear during stress. Size the position so the liquidation plan is plausible when you most need it.

> Push further: Hypothetical 10 crore position, 5 crore ADV and 10% participation: about 20 trading days before price impact.

Watch for: Do not assume ADV means you can sell that entire amount at the last traded price.

141 Explain gross, net and beta-adjusted exposure.

On NAV 100, longs 120 and shorts 60 give gross exposure 180% and net exposure +60%. If average long beta is 1.2 and short beta is 0.8, approximate beta exposure is 1.2 x 120% - 0.8 x 60% = +96%, subject to changing betas and correlations. Net cash exposure can therefore look moderate while market sensitivity is large.

> Push further: Can a dollar-neutral book have non-zero beta? Yes.

Watch for: Market neutrality, sector neutrality and factor neutrality are different constraints.

142 How do you hedge a stock portfolio with index futures?

Estimate the portfolio's index sensitivity, then size short futures notional to the beta exposure you intend to remove. Hypothetical NAV 10 crore and beta 1.2: a full beta hedge uses around 12 crore short index notional, converted to current contract units. Reassess basis, stock/index mismatch, changing beta, margin and roll cost. The hedge reduces systematic exposure, not every stock-specific loss.

> Push further: What if your small-cap stocks fall while the index is stable?

Watch for: Do not call an index hedge complete downside protection.

143 What makes a good short thesis?

A differentiated downside view with observable timing, a valuation gap, funding/borrow feasibility and a survivable adverse path. Earnings deterioration, accounting adjustments, competitive loss or financing stress can matter, but each needs evidence. Model carry, dividends owed, borrow recall and potentially unbounded loss. Position size must survive being early and wrong.

> Push further: What would cause a squeeze despite worsening fundamentals?

Watch for: Do not short just because the stock has risen or trades at a high multiple.

144 How can an Indian fund implement a short?

Check the product mandate, eligible securities and current exchange/regulatory framework. Cash-market delivery shorts require an authorised borrowing/settlement route; naked short selling is prohibited. Futures or options introduce their own eligibility, basis, margin, expiry and settlement risks. Explain the intended instrument and ask compliance/risk to confirm implementation rather than assuming any fund may short any cash stock.

> Push further: What happens if a borrow is recalled or an F&O position reaches delivery settlement?

Watch for: An avoid recommendation does not establish a legal, feasible short trade.

Evidence / reference: [S20] [S21]

145 What do you do after a 10% portfolio drawdown?

Break the loss into market/factor moves, stock-specific news, forecast changes, implementation and concentration. Reassess liquidity and risk limits immediately, then update expected returns rather than sell everything mechanically. Cut positions where the thesis or risk budget has broken; preserve discipline in unaffected ideas. Communicate known facts, uncertainty and actions clearly to the PM.

> Push further: What would you do before the next trading session?

Watch for: A drawdown is not automatically a reason to double risk to recover losses.

146 When do you sell a good business?

When the original thesis is invalid, expected return falls below an adequate alternative, valuation becomes demanding, risk concentration grows or the mandate requires it. The same business can remain high quality while the stock becomes unattractive. Taxes and transaction costs matter, but should not force indefinite ownership of an impaired thesis. Re-underwrite rather than treating the original target as permanent.

Push further: If the target is hit because earnings exceed forecasts, do you sell? Recalculate value and forward returns.

Watch for: Do not sell solely because a gain reaches an arbitrary percentage.

15 Defending your systematic and options experience

This chapter supports the actual work on your resume. Keep the discussion relevant to fundamental research: implementation, robustness and risk. Do not reveal confidential strategy rules.

147 How did you decide which strategy worked in which regime?

Define regimes using information available at the decision date, select metrics before testing and compare out-of-sample results net of realistic costs. Examine returns, drawdown, turnover, tail risk, capacity and correlation with the rest of the book. Avoid explaining the whole past with regimes labelled after the fact. Show where the strategy failed and whether that failure was anticipated.

> Push further: How did you stop the regime-selection rule from using future information?

Watch for: A full-sample best regime is not a deployable allocation rule.

148 What are look-ahead bias, survivorship bias and data snooping?

Look-ahead uses information unavailable at the decision time, such as same-day closing data for an earlier fill. Survivorship excludes companies or instruments that disappeared. Data snooping selects attractive results after trying many alternatives without adjusting for selection. Mitigate with point-in-time universes, publication lags, realistic fills, untouched test data and explicit records of all tried variants.

> Push further: How would a revised fundamental database create look-ahead?

Watch for: A backtest with clean code can still have biased data.

149 What is walk-forward testing and what does it not solve?

Choose parameters using a training window, validate according to a predefined rule, then evaluate the next untouched period. Roll or expand the window and aggregate results using a deployable process. Walk-forward reduces some selection bias but cannot fix poor economic logic, contaminated data, repeated tuning on the test set or unrealistic implementation. Costs and capacity need separate stress tests.

> Push further: How many variants did you try before choosing the final rule?

Watch for: Do not call repeatedly inspected holdout data out-of-sample.

150 Correlation versus cointegration in pairs trading?

Correlation measures co-movement of returns or levels under a specified calculation; cointegration concerns a stable long-run relation between suitable non-stationary series. A correlated pair can drift apart permanently. Test stationarity, stability, economic linkage, costs and structural breaks using methods appropriate to the data. Statistical mean reversion is not a guarantee of tradable profit.

> Push further: What happens after a merger or business-model change?

Watch for: Do not assume two stocks in one sector must converge.

151 What is implied versus realised volatility?

Implied volatility is the volatility input consistent with an option price under a chosen pricing model. Realised volatility measures variation in the underlying over a defined past or future period. Option-selling profitability depends on the premium, future path, hedging, jumps, costs and risk, not simply today's IV exceeding past RV. Compare matching horizons and units.

> Push further: Why can high-IV options still be cheap before a jump?

Watch for: Variance risk premium is not risk-free arbitrage.

152 Explain delta, gamma, vega and theta.

Delta is local sensitivity to underlying price; gamma is the change in delta; vega is sensitivity to implied volatility; theta measures time decay under stated conventions. These sensitivities change as price, time and volatility move. A long option is typically positive gamma and vega, while theta is often negative, but signs and conventions depend on the position. Portfolio exposure must aggregate across strikes and expiries.

> Push further: Does a 0.25-delta put provide 25% crash protection? No, delta is local and changes through the path.

Watch for: Do not interpret delta as a guaranteed exercise probability.

153 How would you choose hedge expiry and roll timing?

Match the risk horizon, budget and liquidity to the protection required. Compare expected hedge behaviour under a range of spot/volatility paths, spread, carry, skew, execution and roll costs. Short-dated hedges need frequent rolls and can leave overnight/gap exposure; long-dated hedges can be expensive and less responsive per unit premium. The best choice depends on the portfolio and objective.

> Push further: Why can the cheapest premium be the most expensive repeated hedge?

Watch for: There is no universal sweet DTE independent of market conditions and hedge purpose.

154 How did you reconstruct historical Greeks?

I would explain the actual inputs: timestamps, underlying or forward, strike, expiry, rates/dividends where relevant, option quote quality and pricing model. Solve implied volatility only for valid prices, then compute sensitivities with consistent conventions and validate against independent calculations. Handle stale quotes, zero volume, contract changes and expiry time precisely. Report what was model-estimated rather than exchange-observed.

Push further: What if the option price violates arbitrage bounds or the solver fails?

Watch for: Do not claim exact historical Greeks: they are model-dependent estimates.

155 Why do live and backtest results differ?

Costs, spreads, slippage, latency, partial fills, rejected orders, market impact, financing, borrow, corporate actions and data revisions can all matter. Reconcile intended signals, submitted orders, fills and marked NAV trade by trade. Compare the same capital base, dates and return definition before attributing the gap to alpha decay. Record operational incidents and improve the research assumptions.

Push further: What evidence would distinguish strategy decay from execution failure?

Watch for: A live gross P&L comparison with a net backtest is not meaningful.

16 Ethics, communication and HR

Use specific real events for behavioural questions. The scripts below give a defensible structure; they do not invent work history. Investment research interviews reward clear uncertainty and independent judgement.

156 What if management tells you an unpublished material number?

Stop the discussion, do not trade or circulate the information, and contact compliance promptly. Record how it was received and follow the firm's restrictions and handling process. Do not try to cure the problem by asking a friend to trade or relabelling it as a channel check. Continue only within the compliant research process.

> Push further: What if the disclosure was accidental? The information can still be material and non-public.

Watch for: The exact legal classification and procedure should be determined with compliance under the applicable rules.

Evidence / reference: [S22] [S23]

157 Your PM wants a buy, but your analysis says avoid. What do you do?

Present the evidence, the valuation assumptions and the strongest counterargument to my own view. Quantify which variable must be different for a buy to work. I would state my recommendation clearly and document the research fairly, while respecting the PM's legitimate portfolio authority. If the issue is unethical or breaches rules, I would escalate through the proper process rather than bury it in an investment disagreement.

> Push further: What if the PM still buys? Track the thesis objectively and update when new facts arrive.

Watch for: Do not change the model simply to reach a requested target.

158 You discover an error after sending a note. What do you do?

Assess materiality immediately, alert the relevant reviewer and recipients through the firm's process, issue the corrected figure and explain its effect on valuation and recommendation. Keep an audit trail and fix the underlying source or formula so it does not recur. The goal is to minimise decision harm rather than quietly replace the file.

> Push further: What if the recommendation is unchanged? A material factual error still deserves correction.

Watch for: Do not hide an error because it is embarrassing.

159 Can you use AI in equity research?

Yes, as an assistant for document navigation, first-pass extraction, code and hypothesis generation, subject to firm policy. I would verify every material number, quotation and calculation against primary documents, keep sensitive information out of unapproved systems and retain ownership of the judgement. For my own notes, I should be able to reconstruct the model and explain assumptions without the tool.

> Push further: How would you catch a fabricated citation? Open it, confirm the exact period and reconcile the number.

Watch for: Do not outsource conviction or present generated research as independently verified.

160 How should you describe your CFA status?

I have passed all three levels of the CFA Program, if that is the verified status. I would state the pass dates accurately and use CFA after my name only if the charter and membership conditions permit. Passing exams does not itself confer the designation or demonstrate guaranteed investment skill. My model and research process must stand on their own.

> Push further: Check the resume's February 2026 date against the actual result record.

Watch for: Avoid CFA Level III as an invented post-nominal designation.

Evidence / reference: [S24]

161 How do you handle a tight deadline?

Prioritise the decision-critical facts, reconcile primary numbers, build the simplest adequate analysis and clearly label open issues. For an earnings update, I would get the headline bridge right first, then estimates/valuation and risks. Tell the reviewer what is ready, what remains uncertain and when it will be checked. Use a real example from your market-note work to demonstrate this.

> Push further: What would you omit from a one-hour deliverable?

Watch for: Do not trade accuracy for cosmetic complexity.

162 Tell me about a disagreement with a colleague.

Choose a real research disagreement. State the issue neutrally, explain what evidence each side used, show how you tested it and describe the decision and what you learned. Your software-validation work may provide an example if you can recall a genuine discrepancy. Credit the other person's valid point and focus on the improved output.

> Push further: What did you change your mind about?

Watch for: No fabricated story is supplied: fill this from your own experience.

163 What salary do you expect and when can you join?

State actual current fixed, variable and deferred compensation consistently, then discuss the role, location, responsibilities and overall package. Give a researched range only after reliable role-specific information; this guide does not invent a market salary. Confirm your contractual notice and actual last date. Keep the answer concise and return to fit and contribution.

Push further: If pressed for a number, explain the basis for your range and flexibility honestly.

Watch for: Do not invent competing offers or immediate availability.

164 What should you ask the interviewer?

Ask how analysts' recommendations become portfolio decisions, what coverage you would own, how forecast accuracy and thesis changes are reviewed, the expected mix of primary research and modelling, and what success looks like in the first six months. For a hedge fund, ask about risk horizon and catalyst expectations. For an AMC, ask about mandate, liquidity and collaboration with PMs.

Push further: Choose two or three questions that have not already been answered.

Watch for: Avoid asking for confidential positions or questions answered plainly on the careers page.

165 What would your first 90 days look like?

First month: learn the mandate, compliance and model conventions; reconcile historicals for the initial coverage names and understand current portfolio debates. Second month: maintain estimates, listen to calls, build a peer map and develop one differentiated thesis. Third month: present an actionable idea and an avoid, with a reviewable forecast, valuation and risk plan. Agree priorities with the PM rather than promise a return target.

Push further: What tangible output would you deliver in week one?

Watch for: Do not promise alpha before understanding the research process and constraints.

17 Worked numerical drills

All examples are hypothetical unless explicitly labelled as reconstructions of your pitch. Try the question on paper before reading the answer. Numbers are rounded; exact spreadsheet results can differ slightly.

166 Drill 1: derive enterprise value and equity value.

Given EBITDA 100, EV/EBITDA 12x, debt 250, excess cash 80, NCI 30 and 10 crore diluted shares, assume EBITDA fully consolidates the NCI subsidiary and no other adjustments. EV = 1,200. Parent equity value = 1,200 - 250 + 80 - 30 = 1,000. Value per share = INR 100. Explain every bridge item before calculating.

> Push further: If EBITDA excludes the subsidiary entirely, the treatment changes; identify what is included.

Watch for: Do not add NCI to parent equity value in this bridge.

167 Drill 2: earnings grow but the multiple falls.

Buy at EPS 10 x P/E 20 = 200. After three years, EPS at 12% CAGR is 10 x 1.12^3 = 14.049. Exit at 15x gives 210.74. Without dividends, annualised return is about 1.76%, even though earnings grew 12% per year. The multiple compression offsets most growth. This is why valuation matters for high-quality compounders.

> Push further: At an unchanged 20x, price return CAGR would match EPS CAGR, before dilution and dividends.

Watch for: Do not confuse business growth with shareholder return.

168 Drill 3: translate a margin move into PAT.

Revenue is 2,000 and EBITDA margin rises from 12% to 13%. Incremental EBITDA is 20, assuming unchanged revenue. With no extra depreciation or interest and 25% tax, incremental PAT is 15. If the improvement needs capex or working capital, free cash flow rises by less than PAT. A margin bridge should explain volume, mix, pricing and costs.

> Push further: What if revenue simultaneously falls 10%? EBITDA at 13% of 1,800 is 234, below the original 240.

Watch for: A 100-bp margin gain does not guarantee higher absolute profit.

169 Drill 4: calculate FCFF.

EBIT 200, cash tax 25%, depreciation 30, capex 80 and increase in operating working capital 20. NOPAT = 150. FCFF = 150 + 30 - 80 - 20 = 80. If interest expense is 20, it is not separately deducted in this FCFF calculation because the cash flow is before debt-holder payments. Financing enters through the discount rate and equity bridge.

> Push further: What if capex includes an acquisition? Define and include economic investment consistently.

Watch for: Do not subtract depreciation twice.

170 Drill 5: build a simple two-year DCF.

FCFF is 80 in year 1 and 90 in year 2, WACC 12%, terminal growth 4%. TV at end of year 2 = 90 x 1.04 / (0.12 - 0.04) = 1,170. EV = 80/1.12 + (90 + 1,170)/1.12^2 = about 1,075.89. If debt is 200 and excess cash 50, equity is 925.89. At 10 crore shares, value per share is about 92.59.

> Push further: Approximately 86.7% of EV comes from discounted terminal value. Explain the sensitivity.

Watch for: This short forecast is a teaching simplification, not a sufficient real-company valuation.

171 Drill 6: bank NIM sensitivity.

Hypothetical average total assets 40 lakh crore, NIM measured on that same base. A sustained annualised 10-bp increase implies 4,000 crore additional annual NII. At 25% tax and no other changes, annual PAT rises about 3,000 crore. For one quarter, roughly one-fourth applies if the full increase holds all quarter. Funding mix, asset repricing, costs and credit losses can change the result.

> Push further: Why is this not automatically a realised earnings forecast?

Watch for: Use the same NIM denominator; do not use earning-asset NIM with total assets.

172 Drill 7: credit-cost sensitivity.

Average loans 10 lakh crore and annualised credit cost increases from 0.5% to 0.8%. Extra annual provisions are 0.3% x 10 lakh crore = 3,000 crore. At 25% tax and immediate deductibility, annual PAT falls about 2,250 crore. Capital generation weakens and may constrain growth. Separate the provision charge from later cash recovery and actual write-offs.

> Push further: Can a 10-bp NIM improvement offset this? You need the asset and loan bases.

Watch for: Do not compare basis-point changes without their denominators.

173 Drill 8: holding-company discount.

Listed holdings worth 20,000, other investments 500, debt 2,500, costs/tax adjustment 1,000 and 1 crore shares imply adjusted NAV of 17,000 per share. At price 4,000, discount is 1 - 4,000/17,000 = 76.47%. If NAV falls 20% to 13,600 and the discount widens to 80%, price becomes 2,720, a 32% loss. Cheapness does not remove underlying or discount risk.

> Push further: What if debt remains fixed while asset values fall? The equity NAV moves more than gross asset value.

Watch for: Do not assume NAV discount mean-reverts.

174 Drill 9: probability-weighted scenarios.

Hypothetical three-year terminal wealth: bear 80 with 25% weight, base 140 with 50%, bull 200 with 25%; entry 100. Expected terminal wealth = 140, whose annualisation is 11.87%. Individual CAGRs are about -7.17%, 11.87% and 25.99%; their probability-weighted average is about 10.64%. These are different calculations because the transformation is nonlinear.

> Push further: Which should you report? State the metric and decision purpose; probabilities are judgement, not observed frequencies.

Watch for: Do not label CAGR of expected wealth expected IRR without qualification.

175 Drill 10: working-capital and liquidity stress.

Revenue 3,650 per year and DSO rises from 60 to 90 days with unchanged other factors. Extra receivables are about 300. If EBITDA is 500 and cash taxes 100, the collection delay consumes most cash before capex. Investigate collections and credit lines rather than celebrate sales growth. For a seasonal business, use monthly balances instead of a simplistic annual average.

Push further: What if management factors the receivables? Check costs, recourse and cash-flow classification.

Watch for: A receivable is not equivalent to cash at face value when collectability is uncertain.

18 Timed practical tests with model solutions

These are original practice exercises designed for your target roles. They are not presented as tests used by a named employer. Use Excel for the model, then explain the decision aloud.

Test A: 60-minute three-statement and valuation case

Hypothetical manufacturer, opening year: revenue 1,000; EBITDA 150; D&A 30; interest 10; tax 25%; net PP&E 300; operating NWC 150; debt 200; cash 50; other net assets zero; equity 300. Forecast one year with revenue growth 10%, EBITDA margin 16%, D&A 35, capex 80, NWC 16% of revenue, interest 12, debt unchanged, no dividends. Deliver income statement, cash flow, closing balance sheet, FCFF, a margin/NWC sensitivity and a 100-word recommendation. Time allocation: 10 minutes understand, 30 build, 10 check, 10 write.

Test A solution and checks

Revenue 1,100; EBITDA 176; EBIT 141; PBT 129; tax 32.25; PAT 96.75. Closing NWC 176, increase 26. CFO = 96.75 + 35 - 26 = 105.75; investing outflow 80; no financing flows, so closing cash 75.75. Closing PP&E = 300 + 80 - 35 = 345. Equity = 396.75. Net assets 345 + 176 + 75.75 = 596.75; debt + equity = 200 + 396.75 = 596.75. FCFF = 141 x 75% + 35 - 80 - 26 = 34.75. Under the simplified tax/classification assumptions, CFO - capex + after-tax interest = 105.75 - 80 + 9 = 34.75. No recommendation can be unconditional without an entry valuation and risk assessment.

Test B: 45-minute bank investment committee note

Use the primary HDFC Q2 release and your dated pitch. Produce one page: latest results bridge; funding and asset-quality interpretation; a core-bank/ subsidiaries valuation bridge; three ROE and Ke sensitivities; two falsification tests; and a buy/hold/avoid decision at a newly verified price. Model answer standard: acknowledge margin pressure, separate special funding effects, avoid stale peer data and show that a 2.0x P/B needs assumptions rather than historical nostalgia. The right decision may change with price; there is no universal buy answer.

Test C: 30-minute forensic case

Hypothetical company: revenue grows 40%, receivables 90%, inventory 60%, CFO negative for a third year, promoter ownership falls after a share-swap acquisition and reported PAT includes a tax credit. Write 200 words explaining the concern, three source checks and a provisional decision. Strong answer: cash conversion and normalised earnings need investigation; inspect receivable ageing/collections, acquisition consideration and share-count changes, tax recoverability and debt maturity. Do not assert promoter selling or fraud from these facts alone. A provisional avoid pending verification is defensible.

Test D: 20-minute earnings flash

Write 200 words on the latest Infosys release: decision-relevant growth and margin, distinction between constant-currency and reported results, guidance, what this changes in your model and the key next question. Strong answer: quote the period, keep deal wins distinct from revenue, and assess whether the guidance run rate implies improvement or caution. Do not claim beat/miss without a timestamped estimate source. End with the estimate/valuation implication and risk, not management quotes.

Test E: 10-minute mental-maths round

Without a calculator: price 100 to 80 needs +25% to recover; 50% down needs +100%; +20% then -20% yields -4%; 100 bps = one percentage point; 40% growth for two years is 1.96x; P/E 20x implies earnings yield 5%; 15% margin on 2,000 revenue means 300 profit at that line item; 10% position falling 30% costs roughly 3% of initial portfolio NAV before interaction. Always identify whether the question asks percentage change or percentage-point change.

Test F: Excel skills you must demonstrate

Import and clean a company results table; map dates and units; use SUMIFS, XLOOKUP or INDEX/MATCH; create a driver-based forecast; calculate XIRR on dates; build a scenario switch and a two-variable sensitivity; trace precedents; identify hardcodes; and show balance-sheet/cash checks. Explain what every output means. Do not use IFERROR to conceal a broken valuation denominator. If asked for Python, show data validation, corporate-action adjustments and a reproducible calculation, with no invented claims of engineering depth.

19 Mock interviews and scoring

Use a timer and record your answers. Complete the answer before consulting the book. Repeat weak questions after a day, not immediately until you can recite them.

Mock 1: AMC analyst, 45 minutes

0-5 min: introduction, transition and why this mandate. 5-15: HDFC pitch, new results, bank valuation and peer basis. 15-25: depreciation, cash conversion, FCFF and terminal growth. 25-35: portfolio active weight, liquidity and downside. 35-42: current inflation/rates and one fresh earnings release. 42-45: your questions. Examiner should interrupt vague statements with what number, which period, how calculated and what would disprove it.

Mock 2: PMS stock research, 60 minutes

0-10 min: your story and one actual mistake. 10-25: M&M business economics, management/capital allocation and SOTP. 25-40: one avoid note, cash conversion, governance and the strongest bullish counterargument. 40-50: valuation at a different entry price and downside sizing. 50-57: ethics and a disagreement with a PM. 57-60: your questions. Require a primary filing citation for each decisive historical company fact.

Mock 3: long-short/AIF, 60 minutes

0-10 min: research role, live capital/exposure and metric reconciliation. 10-25: long thesis and a next-quarter earnings bridge. 25-40: convert an avoid into a potential short, or explain why no trade is justified. 40-50: gross/net/beta, liquidity, borrow and catalyst delay. 50-57: backtest bias and IV/RV. 57-60: questions about risk horizon and research process. Reject any answer that calls an expensive stock an automatic short.

Rubric: score 0-4 on six dimensions

Accuracy: correct definitions, calculations and periods. Evidence: traceable sources and honest limits. Business reasoning: causal drivers and competitive economics. Valuation: internally consistent assumptions and sensitivities. Investment decision: return, downside, catalyst, size and opportunity cost. Communication: clear conclusion within time and calm response to challenge. Maximum 24. Aim for at least 18 with no zero in accuracy or evidence. This is a self-assessment rubric, not a hiring probability. Any fabricated claim means repeat the exercise after correction.

Common answers that weaken you

It is a leader so it is a buy. The stock is down so downside is limited. My target matches brokers. The strategy had a good backtest so it will work live. The red flag proves fraud. SIP flows guarantee support. EBITDA is cash flow. The margin dip is temporary because management says so. Replace each with a quantified mechanism, independent evidence, a valuation and a falsification test.

20 A preparation plan you can execute

Default workload: about three focused hours daily, adjusted around interviews. Progress is measured by completed models, evidence and spoken answers, not pages read.

If you have only 72 hours

Day 1: reconcile the pair metrics, live exposure and authority claims; record the introduction; revise the accounting drills; build Test A from a blank workbook. Day 2: update HDFC and M&M models and quotes; practise two-minute pitches and the ten toughest follow-ups; source one avoid note. Day 3: refresh the market sheet; study the exact employer mandate and JD; complete one timed mock and one written flash; fix every factual error. On interview morning, refresh news and quotes, then practise only the introduction and thesis summary.

Days 1-5: foundations and honest evidence

Day 1: print your resume and attach evidence/definitions to each claim. Day 2: link three statements and complete depreciation/credit-sales drills. Day 3: analyse receivables, leases, taxes and consolidated earnings. Day 4: complete Test A without a template, then audit it. Day 5: practise DCF, WACC, terminal reinvestment and EV bridges; speak each calculation aloud. Output: one checked industrial model and a corrected claim register.

Days 6-10: become credible on banks

Day 6: read HDFC annual report policies and latest results. Day 7: build average balance, yield, funding-cost and credit-cost schedules. Day 8: compare relevant peers on one date and basis. Day 9: reconcile core bank book, subsidiaries, retained earnings and dividends. Day 10: present the pitch, defend three downside scenarios and rewrite the exit tests. Output: a one-page HDFC decision note and a transparent valuation model.

Days 11-15: auto and the second long

Day 11: map M&M segments and ownership. Day 12: reconcile volume, retail/wholesale, mix and margins. Day 13: build auto/farm drivers and scenarios. Day 14: construct SOTP and a consistent peer table; calculate the unchanged-multiple return. Day 15: run a 20-minute hostile pitch defence. Output: an updated M&M note with precise segment definitions and a valuation bridge.

Days 16-20: develop independent judgement

Day 16: choose your strongest avoid and source every decisive number. Day 17: build the bullish counterargument. Day 18: reconstruct cash conversion, debt and dilution. Day 19: analyse one new company with a different business model. Day 20: compare your best long, avoid and new idea against a common hurdle. Output: one sourced avoid note and a research log with open questions, not forced recommendations.

Days 21-25: portfolio and current affairs

Day 21: size positions under downside and liquidity constraints. Day 22: calculate active weights, factor exposure and hedge requirements. Day 23: review short mechanics and catalyst timing. Day 24: write the current macro-to-earnings map and a fresh result flash. Day 25: build a one-page employer dossier for each actual interview. Output: a portfolio decision sheet and a dated current-data briefing.

Days 26-30: perform under pressure

Day 26: complete AMC mock and review recording. Day 27: complete PMS mock and forensic case. Day 28: complete AIF mock if relevant; otherwise deepen sector coverage. Day 29: rebuild the weakest calculation without notes and rehearse behavioural examples using real events. Day 30: run the complete interview with interruptions, refresh sources and assemble your kit. Output: corrected answers and a list of unresolved facts to verify, never invented filler.

Daily 45-minute news routine

10 min: official releases and exchange announcements for coverage names. 10 min: relevant macro/policy releases, recording actual versus forecast. 15 min: update one model driver and quantify the estimate/value impact. 10 min: speak a 60-second answer: what changed, what is priced, what I think and what would change my mind. Keep a dated log; reading headlines without model updates is not sufficient preparation.

Your 15-minute morning refresh sheet

Fill: interview date/time; benchmark close and valuation basis; HDFC and M&M quote timestamps; INR exchange rate; Brent contract/spot definition; Indian 10-year yield; current RBI/Fed decisions; latest CPI/GDP period and actual versus forecast; date-bounded FPI data if discussing flows; new company results/guidance; and your updated expected returns. Use NSE/BSE for company filings and market data, RBI/MoSPI/PIB for policy/statistics, AMFI for mutual-fund flows and NSDL/CDSL for FPI series. Do not label blank fields verified.

Your answer cards

For every coverage name fill: business in 25 words; three value drivers; two source-backed differentiated points; current price/date; base and downside valuation with horizon; funding needs; catalyst or evidence timeline; portfolio role; disconfirming evidence; and the strongest reason to disagree. Make one card per company and one for each real behavioural story. If a field is missing, it is a research task, not a cue to improvise.

21 One-day-before revision and claim checklist

Read this section at the end of preparation. The goal is a coherent, honest investment conversation.

Reconcile before you repeat

Pair strategy: the 16% CAGR, 5.0 CAR/MDD and -4.1% worst month need one common return series and denominator. Live deployment: funded capital, margin and exposure must be distinguished. Authority: concluded/recommended and approved need your real sign-off chain. Diwali: verify start/end prices, corporate actions, dividend treatment, weights and benchmark dates. CFA: verify designation wording and dates. Sources for research: claim annual reports, calls, databases and meetings only to the extent actually used.

Repair the pitch logic before interview

HDFC: use same-date peer data; reconcile subsidiary value and book base; show ROE/Ke/g sensitivity; replace a rigid all-three-fail exit rule with evidence-based review. M&M: acknowledge modest re-rating in the base case; align peer earnings years; name the actual segment margin rather than shorthand SUV margin; correct the tractor series; calculate dated dividend IRR if calling it IRR. Both: reference prices are from 21-Oct, not a verified interview-day quote.

Know these formulas without notes

FCFF = NOPAT + non-cash operating charges - capex - change in operating NWC. WACC = E/V x Ke + D/V x Kd x (1-tax). TV = next-period normalised FCF/(discount rate-growth). ROIC = NOPAT/average operating invested capital. Steady-state reinvestment = growth/incremental ROIC. P/B = (ROE-g)/(Ke-g) under the model conditions. CAGR = (end/start)^(1/years)-1. Gross exposure = (long + absolute short)/NAV. Net exposure = (long - absolute short)/NAV. Initial portfolio downside contribution is approximately weight x stock downside.

Final readiness test

Can I reproduce my target without looking? Can I explain the accounting and per-share basis? Can I state the strongest opposing view? Can I name a fact that changed my mind recently? Can I discuss the two losers in my basket? Can I distinguish a bad business from an expensive stock, an avoid from a short and a backtest from live returns? Can I answer I do not know clearly and then explain how I would find out? If yes, the preparation is becoming usable.

Evidence register and refresh sources

External sources were accessed or checked during research on 24 October 2026. Click the source title to open it. Technical explanations are original teaching material with selected authoritative cross-checks; numerical examples are hypothetical. User materials are identified separately. Primary documents override summaries.

S1 RBI: MPC resolution, 7 October 2026

Repo rate, policy stance and FY27 growth/inflation forecasts. Official page identified and inspected; access can be intermittent.

S2 MoSPI/PIB: September 2026 CPI release, 12 October 2026

Provisional September headline and food inflation, final August CPI, and 2024 index base.

S3 Federal Reserve: FOMC statement, 16 September 2026

Latest policy decision used in this edition; do not infer future decisions.

S4 AMFI: SIP contribution data

September 2026 gross SIP contribution. This is a changing web page; the guide preserves the research-date observation.

S5 HDFC Bank: Q2 FY27 results press release, 17 October 2026

Primary Indian GAAP release. Standalone profitability, NIM definitions, growth, asset quality and capital adequacy.

S6 HDFC Bank: Q2 FY27 key parameters

Product advances and ratio definitions; FCNR leverage-loan note. Rounded ratios can differ from the more precise press release.

S7 HDFC Bank: 17 October earnings call transcript, published 23 October 2026

Funding and FCNR discussion. Management statements are explanations to test, not independently verified forecasts.

S8 Mahindra: September 2026 auto sales, 1 October 2026

Company dispatch/sales series; do not equate automatically with end-customer retail registrations.

S9 Mahindra: September 2026 tractor sales, 1 October 2026

Domestic monthly and April-September volumes; the domestic September change is -23%.

S10 Marcellus Investment Managers: published investing approach

Published clean-accounts, capital-allocation and competitive-advantage framework. Interview priorities are our inference.

S11 PPFAS Mutual Fund: corporate presentation, January 2026

Published value-investing approach. Not evidence of an interview question bank.

S12 CFA Institute: Free Cash Flow Valuation

Technical cross-check for FCFF/FCFE and matched discount rates. Numerical drills are original hypothetical calculations.

S13 Aswath Damodaran, NYU Stern: Excess Returns and Terminal Value

Technical cross-check for terminal growth and reinvestment economics. Explanations and examples here are original.

S14 CFA Institute: research analyst career overview

Role context. Employer-specific practice questions are inferred from responsibilities and your background.

S15 IFRS Foundation: IFRS 15 revenue recognition

Conceptual reference; verify the actual applicable Indian accounting standard and company policies.

S16 IFRS Foundation: IFRS 16 leases

Conceptual lease reference. The guide does not claim every Indian entity applies IFRS directly.

S17 Mahindra: Q1 FY27 results, 30 July 2026

Quarter ended June 2026: group revenue, PAT after NCI and market-share metrics. Not September-quarter profit data.

S18 Infosys: Q2 FY27 IFRS-USD press release, 23 October 2026

Latest reported/constant-currency growth and FY27 revenue/margin guidance. Guidance is management expectation.

S19 SEBI: Categorization and Rationalization of Mutual Fund Schemes, 26 February 2026

Scheme minima and updated categorisation/overlap framework. Read transition provisions and subsequent amendments.

S20 SEBI: Framework for Short Selling, January 2024

Short-selling framework; confirm current product and exchange requirements before discussing implementation.

S21 NSE: securities lending and borrowing scheme features

Implementation reference for SLB, subject to current eligibility and contract rules.

S22 SEBI: updated regulations index

Locate current PIT, Research Analysts, AIF and Mutual Funds regulations and amendments. This guide gives interview principles, not a complete legal interpretation.

S23 CFA Institute: Code of Ethics and Standards of Professional Conduct

Ethical reference for integrity, material non-public information, reasonable basis and conflicts.

S24 CFA Institute: How to Share Your Achievements

Status and designation wording. Passing exams is distinct from receiving the charter.

S25 SEBI: Regulatory framework for SIFs, 27 February 2025 (NSE-hosted copy)

Original SIF framework, effective April 2025; subsequent rules must also be checked.

S26 SEBI: Monitoring Minimum Investment Threshold under SIFs, 29 July 2025

PAN-level threshold monitoring and active-breach treatment. Do not conflate with other products.

U1 Your role transcript and current resume builder

2026-10-24-125344-role.txt and build_resume.py in Nikhil-work. User-provided career context; not independently audited employment evidence.

U2 Your Diwali result workbook

diwali result.xlsx in your shared Nikhil_WORK folder. Values inspected: October 2024 close to 20 October 2025; four stock arithmetic average and supplied benchmark price returns. Dividend/corporate-action and exact starting-date comparability remain to verify.

U3 Your Investment Idea: HDFC Bank and M&M, 22 October 2026

Supplied PDF; prices labelled as of 21 October 2026. Used to reconstruct your assumptions and prepare challenges; not treated as independent proof of every statement.

U4 Your seven company-analysis Word documents

Supplied Analysed stocks folder. Notes dated 7 and 22 October 2026. Specific company conclusions are attributed to your notes; the guide does not independently validate every statistic or allegation.

U5 Saved job-description collection in ats/jds/

Five JSONL files from the prior project, reported total 87 records. Includes seniority, geography and role-fit mismatches; entries are not newly verified current vacancies. Used to identify preparation topics, not to estimate interview odds or ATS performance.

Refresh destinations, not verified live values

NSE: corporate announcements

BSE: corporate announcements

RBI: current policy and publications

MoSPI: statistical releases

AMFI: monthly industry data

NSDL: FPI monitoring

Question index

Click any question to return to its full answer. Numbers remain stable within this edition.

001 Tell me about yourself in 90 seconds.
002 Why move from systematic research to fundamental equity research?
003 Why are you leaving Young Turtle?
004 What exactly did you do when you say you led four people?
005 You say 40+ strategies were approved. Did you have investment authority?
006 What does INR 6 crore live mean: AUM, exposure or capital?
007 Explain 16% CAGR, CAR/MDD 5.0 and a worst month of -4.1%.
008 What was the result of the Diwali stock basket?
009 Does beating NIFTY prove stock-picking skill?
010 What did you personally build versus the developers?
011 What is your biggest research mistake?
012 What is your edge and your current gap?
013 What changes between buy-side and sell-side research?
014 How would you prepare for an AMC interview?
015 How would you prepare for a concentrated PMS interview?
016 How would you prepare for a hedge fund or Category III AIF?
017 How would you tailor preparation for PPFAS and Marcellus?
018 What should you research about any employer the evening before?
019 How do mutual funds, PMS, AIFs and SIFs differ?
020 Multi-cap versus flexi-cap, and what is the relevance for an analyst?
021 What do you know about the current SIF framework?
022 Why do bond yields matter for equity valuation?
023 Why might a stock fall after good results?
024 Is EPS-accretive M&A automatically value creating?
025 Can a company grow faster than its sustainable-growth formula?
026 What is the role of catalysts in long-term investing?
027 What would you do if asked to cover a sector outside your expertise?
028 How do you maintain conviction without becoming stubborn?
029 Walk me through the three financial statements.
030 Depreciation increases by 10. What happens?
031 A company buys equipment for 100 using debt. Trace the entries.
032 Credit sales rise by 100 with associated COGS of 60. What happens?
033 What is operating working capital and why does its increase consume cash?
034 What is the cash conversion cycle?
035 How do you judge earnings quality?
036 How does revenue recognition create research risk?

037 Capitalise or expense: why does it matter?
038 What is the difference between a provision, contingent liability and reserve?
039 What are deferred tax assets and deferred tax liabilities?
040 How do leases affect EBITDA, debt and valuation?
041 Standalone versus consolidated: which do you use?
042 What are minority interests and associates?
043 How do you assess a buyback?
044 How do dilution and stock splits affect analysis?
045 What governance red flags matter most?
046 Walk me through a DCF.
047 FCFF versus FCFE: give the formulas.
048 Calculate WACC and explain its limitations.
049 How do you estimate cost of equity?
050 How do you unlever and relever beta?
051 How do you choose terminal growth?
052 Calculate a one-period terminal value.
053 What belongs in the enterprise-value-to-equity bridge?
054 When should you use P/E, EV/EBITDA, EV/sales and P/B?
055 Why can a low P/E be a value trap?
056 How do you value a cyclical company?
057 What is reverse DCF and what can it prove?
058 How do you build a sum-of-the-parts valuation?
059 Derive justified P/B for a bank.
060 What is residual income valuation?
061 What is ROIC and how is it different from ROE?
062 How do growth, reinvestment and returns connect?
063 How do you construct a three-statement model?
064 How do you forecast revenue and margins?
065 How do you run sensitivity and scenarios?
066 What is the difference between target price, upside, CAGR and IRR?
067 How do you reconcile a target with the market price?
068 How would you analyse a company you have never seen?
069 What is a moat, and how do you test it?
070 How do you distinguish a great business from a great stock?
071 What is a variant perception?
072 How do you evaluate management?
073 What would you ask management in a meeting?
074 What are channel checks and how would you do them?
075 How do you read an annual report efficiently?
076 How do you handle contradictory sources?

077 How do you screen a sector without overfitting?
078 How does a bank earn money?
079 NII, NIM, spread and ROA: explain the differences.
080 How does a rate hike affect a bank?
081 What makes CASA useful, and what are its limits?
082 What does the credit-deposit ratio tell you?
083 GNPA, NNPA, slippage, PCR and credit cost: define them.
084 What are CET1, CRAR, LCR and NSFR?
085 How would you build a bank model?
086 Why can ROA improve while ROE falls?
087 How do NBFCs differ from banks?
088 Pitch HDFC Bank in two minutes.
089 What did the latest HDFC results do to your thesis?
090 Why HDFC over ICICI or Axis?
091 Is the 2.0x exit P/B assumption internally consistent?
092 Reconcile your INR 1,121 HDFC base value.
093 Are you double-counting subsidiary value?
094 What is wrong with waiting until all three exit tests fail?
095 How does the FCNR funding detail change your analysis?
096 What if the stock falls another 20%?
097 Pitch M&M in two minutes.
098 Reproduce the M&M base case.
099 Why is the peer valuation chart vulnerable?
100 What is the difference between wholesales and retails?
101 How would you build M&M revenue and margin forecasts?
102 How does the monsoon affect tractors?
103 How do you assess M&M's EV investment?
104 What would make you withdraw the M&M recommendation?
105 Pitch one stock you would avoid: MIC Electronics.
106 Why avoid Websol if the reported P/E is low?
107 What is the E2E Networks debate?
108 Why is a one-off order relevant to Divgi?
109 Why might Modi Naturals not be cheap at a single-digit P/E?
110 Why does Pilani's NAV discount not guarantee upside?
111 Does an avoid call mean you should short the stock?
112 How would you analyse Bharti Airtel?
113 How would you analyse IT services in the AI transition?
114 How would you analyse an FMCG company?
115 How would you analyse pharma?
116 How would you analyse hospitals?

117 How would you analyse capital goods or defence?
118 How would you analyse cement or metals?
119 How would you analyse power or renewable equipment?
120 How would you analyse an AMC as a listed business?
121 How would you analyse an exchange or broker?
122 How would you analyse insurance?
123 How would you value an early-stage or loss-making company?
124 What is your current view on Indian equities?
125 What is the most important recent macro development for your stocks?
126 If inflation rises, which companies benefit and which suffer?
127 How would a weaker rupee affect your coverage?
128 Do domestic SIP flows make FPI selling irrelevant?
129 What recent earnings release would you discuss?
130 Would you now say HDFC funding normalisation is complete?
131 What is the latest fact that challenges your M&M thesis?
132 How would higher US rates affect India?
133 What are the three market numbers you must know on interview morning?
134 How do you answer a current-data question you cannot recall?
135 How would you size your best idea?
136 Would you use Kelly sizing?
137 What is the difference between absolute and relative risk?
138 What are active share, tracking error and information ratio?
139 How do you distinguish alpha from factor exposure?
140 How do you measure liquidity risk?
141 Explain gross, net and beta-adjusted exposure.
142 How do you hedge a stock portfolio with index futures?
143 What makes a good short thesis?
144 How can an Indian fund implement a short?
145 What do you do after a 10% portfolio drawdown?
146 When do you sell a good business?
147 How did you decide which strategy worked in which regime?
148 What are look-ahead bias, survivorship bias and data snooping?
149 What is walk-forward testing and what does it not solve?
150 Correlation versus cointegration in pairs trading?
151 What is implied versus realised volatility?
152 Explain delta, gamma, vega and theta.
153 How would you choose hedge expiry and roll timing?
154 How did you reconstruct historical Greeks?
155 Why do live and backtest results differ?
156 What if management tells you an unpublished material number?

157 Your PM wants a buy, but your analysis says avoid. What do you do?
158 You discover an error after sending a note. What do you do?
159 Can you use AI in equity research?
160 How should you describe your CFA status?
161 How do you handle a tight deadline?
162 Tell me about a disagreement with a colleague.
163 What salary do you expect and when can you join?
164 What should you ask the interviewer?
165 What would your first 90 days look like?
166 Drill 1: derive enterprise value and equity value.
167 Drill 2: earnings grow but the multiple falls.
168 Drill 3: translate a margin move into PAT.
169 Drill 4: calculate FCFF.
170 Drill 5: build a simple two-year DCF.
171 Drill 6: bank NIM sensitivity.
172 Drill 7: credit-cost sensitivity.
173 Drill 8: holding-company discount.
174 Drill 9: probability-weighted scenarios.
175 Drill 10: working-capital and liquidity stress.

Make the answer yours. Rebuild the calculation. Verify the fact. Explain the decision.